

## CHAPTER - 7

### BANK RECONCILIATION STATEMENT (BRS)

| Sr. No | Course Outline Topics                                                        |
|--------|------------------------------------------------------------------------------|
| 1      | Basic Concepts of Bank Reconciliation                                        |
| 2      | Nature and Behaviour of Balances                                             |
| 3      | Possible reasons of differences - Those need adjustment in cash book         |
| 4      | Possible reasons of differences - Those need to be presented in BRS          |
| 5      | Practice - Given: Both Balances                                              |
| 6      | Practice - Given: Previous BRS, current cash book and current bank statement |
| 7      | Practice - Given: Previous cash book and current bank statement              |
| 8      | BRS – Accounting Entries                                                     |

**Topic 062 – 068 are included in this chapter.**

### **Basic concept of Bank Reconciliation**

It is a professional responsibility of an accountant to keep cash book balances updated in conformity with the balances as per the record maintained by bankers.

Both entities i.e., Business (as a bank account holder) and Bank (in which business funds are kept), maintain proper books of accounts to record transactions between business and the bank. These transactions mainly include; deposit of money in the bank and withdrawal of money from the bank.

Accountant of the business, who maintains cash book, prepares a bank reconciliation statement on a specific date, normally at the end of each month.

In this statement the reasons causing difference among the balance as per cash book and balance as per bank statement are presented. These reasons arise because of timing difference, whereas for some reasons adjustments are required to be made by bankers in their records.

Sometimes, while tracking transactions in the bank statement; accountant of the business comes across certain reasons of differences for which adjustments are required to be made within the cash book. These reasons may include wrong accounting treatment of banking transactions in the business records or omission of certain transactions with bank.

### **Nature and Behaviour of Balances**

It is important to know the nature and behavior of two balances before unfolding the possible reasons of difference among the two balances.

| <b>Balances as per:</b>                                          | <b>Favorable or Unfavorable Balance</b> | <b>Deposit account (Favorable for the entity/business)</b> | <b>Overdraft account (Unfavorable for the entity/business)</b> |
|------------------------------------------------------------------|-----------------------------------------|------------------------------------------------------------|----------------------------------------------------------------|
| Business Record _ Cash Book (Bank Column) _ Bank a/c _ Bank Book |                                         | Dr.<br>Entity's Asset                                      | Cr.<br>Entity's Liability                                      |
| Bank Record _ Bank Statement _ Pass Book                         |                                         | Cr.<br>Bank's Liability                                    | Dr.<br>Bank's Asset                                            |

### **Important Tips to Remember (ITTRs):**

1. Deposit account does not mean fixed deposit or time deposit account.
2. There are two types of deposit account:
  - (i) Fixed/Time Deposit Account.
  - (ii) Demand Deposit Account.
3. BRS is prepared for demand deposit accounts only. These may be:
  - (i) Current Account, and
  - (ii) Profit and Loss Sharing Account, also known as Saving Account.
4. Transactions take place frequently in demand deposit accounts.
5. Time deposit accounts are kept for fixed period.
6. Further deposits and withdrawals are not made in time deposit account till its maturity.

## Possible reasons of difference among the two balances

Possible reasons of difference among the “*balance as per cash book*” and “*balance as per bank statement*” can be subdivided into two:

1. Adjusting items
2. Reconciling items

### 1. **Adjusting Items:** Those need adjustments in cash book

| a) | Not yet recorded in cash book                                                               | Effect in Cash Book      |
|----|---------------------------------------------------------------------------------------------|--------------------------|
|    | • Credit transfers                                                                          | (collections) Dr         |
|    | • Direct debits                                                                             | (payments) Cr            |
|    | • Standing orders                                                                           | (payments) Cr            |
|    | • Bank charges                                                                              | (deductions) Cr          |
|    | • Interest on overdrawn balance                                                             | (deductions) Cr          |
|    | • Deposited cheque returned dishonoured                                                     | (deductions) Cr          |
| b) | Mistakes committed in cash book                                                             |                          |
|    | • Receipts side mistakenly overstated                                                       | Cr                       |
|    | • Receipts side mistakenly understated                                                      | Dr                       |
|    | • Payments side mistakenly overstated                                                       | Dr                       |
|    | • Payments side mistakenly understated                                                      | Cr                       |
|    | • Issued cheque returned dishonoured but in replacement a new cheque was issued immediately | (No effect in cash book) |

### 2. **Reconciling Items:** Those need to be presented in bank reconciliation statement

| a) | Not yet recorded in the bank statement                                                                | Effect in BRS |
|----|-------------------------------------------------------------------------------------------------------|---------------|
|    | • A cheque from a customer recorded in cash book and also deposited but not yet collected by the bank | Cr            |
|    | • Cheques paid to suppliers recorded in cash book but not yet presented to the bank for payment       | Dr            |
| b) | Mistakes committed in bank statement                                                                  |               |
|    | • Wrongly debited/charged by the bank                                                                 | Cr            |
|    | • Wrongly credited by the bank                                                                        | Dr            |

**Practice 7.1**

The balance as per Yasin Trader's cash book (bank column) Rs.4,500 does not agree with the balance as per bank statement Rs.7,700 on December 31, 20X9.

An investigation reveals following facts:

1. Cheques from customers of Rs.2,000 have been paid into the bank but have not yet been processed/cleared.
2. Cheques paid to suppliers of Rs.6,200 have not yet been presented to the bank for payment
3. The bank statement shows Rs.700 as bank charges that are yet to be recorded in the cash book.
4. A cheque for Rs.300 received from a customer has been returned dishonoured and could not be rectified in the cash book.

**Answer:**

**Adjusted Cash Book (Bank Column)**

| Date           | Receipts                | Amount<br>Rs. | Date           | Payments           | Amount<br>Rs. |
|----------------|-------------------------|---------------|----------------|--------------------|---------------|
| 2009<br>Dec.31 | Balance b/f (re-opened) | 4,500         | 2009<br>Dec.31 | Bank charges       | 700           |
|                |                         |               |                | Cheques Dishonored | 300           |
|                |                         |               |                | Balance c/f        | 3,500         |
|                |                         | <u>4,500</u>  |                |                    | <u>4,500</u>  |

**Bank Reconciliation Statement  
As on December 31, 20X9**

|                                                        |           |                     |
|--------------------------------------------------------|-----------|---------------------|
| <b>Rs.</b>                                             |           |                     |
| Balance as per Bank Statement (favorable)              | Cr        | 7,700               |
| Un-collected Cheques                                   | Cr        | 2,000               |
| Un-presented Cheques                                   | Dr        | <u>6,200</u>        |
| <b>Corrected Balance</b>                               | <b>Cr</b> | <b><u>3,500</u></b> |
| <b>Balance as per adjusted cash book (bank column)</b> | <b>Dr</b> | <b>3,500</b>        |

**Practice 7.2**

Following information relates to the bank balance of Sethi Industries for the month of June 20X9.

**Bank Reconciliation Statement**  
**As on May 31, 20X9**

|                                 | Rs.          | Rs.                     |
|---------------------------------|--------------|-------------------------|
| Balance as per Bank Statement   |              | Cr. 5,000               |
| Unpresented Cheques             |              |                         |
| Rashid Kamal                    | 1,700        |                         |
| Asad Ali                        | <u>1,300</u> | Dr. 3,000               |
| Uncollected Cheques             |              |                         |
| Nauman Zikria                   | 2,800        |                         |
| Munir Ishaq                     | <u>1,200</u> | Cr. 4,000               |
|                                 |              | <u>Cr. 6,000</u>        |
| <b>Balance as per Cash Book</b> |              | <u><b>Dr. 6,000</b></u> |

**Cash Book (Bank column)**

| Jun 20X9 |               | Rs.           | June 20X9 |               | Rs.           |
|----------|---------------|---------------|-----------|---------------|---------------|
| 1        | Balance b/f   | 6,000         | 6         | Fareed ud Din | 800           |
| 2        | Abbass Elahi  | 950           | 18        | Rent          | 1,500         |
| 3        | Bilal Mushtaq | 450           | 20        | Ghulam Abbas  | 1,400         |
| 10       | Chiragh Din   | 2,000         | 27        | Haider Ali    | 1,600         |
| 19       | Dilnawaz khan | 1,250         | 30        | Ismail Rana   | 1,200         |
| 29       | Elahi Buksh   | 850           | 30        | Balance b/f   | 5,000         |
|          |               | <b>11,500</b> |           |               | <b>11,500</b> |

**Bank Statement**  
**June 1, 20X9 to June 30, 20X9**

| Jun 20X9 |                                                      | Dr. Rs. | Cr. Rs. | Balance Rs.      |
|----------|------------------------------------------------------|---------|---------|------------------|
| 1        | Balance b/f                                          |         |         | Cr. 5,000        |
| 2        | Nauman Zikria                                        |         | 2,800   | 7,800            |
| 3        | Abbass Elahi                                         |         | 950     | 8,750            |
| 3        | Munir Ishaq                                          |         | 1,200   | 9,950            |
| 5        | Bilal Mushtaq                                        |         | 450     | 10,400           |
| 7        | Fareed ud Din                                        | 800     |         | 9,600            |
| 13       | Chiragh Din                                          |         | 2,000   | 11,600           |
| 13       | Bank charges                                         | 20      |         | 11,580           |
| 19       | Rent                                                 | 1,500   |         | 10,080           |
| 22       | Chamber of Commerce Subscription<br>(Standing order) | 3,000   |         | 7,080            |
| 25       | Asad Ali                                             | 1,300   |         | 5,780            |
| 28       | Credit transfer (Bad Debts recovered)                |         | 120     | 5,900            |
| 30       | Electricity Bill (Direct Debit)                      | 900     |         | <u>Cr. 5,000</u> |

**Required:**

- 1 Prepare adjusted Cash Book for June, 20X9
- 2 Prepare Bank Reconciliation Statement as on June 30, 20X9.
- 3 Pass adjusting entries in Journal of Sethi Industries.

**Answer:**

**Adjusted Cash Book**

| Date                  | Particulars                    | Amount<br>Rs. | Date                   | Particulars                                                                                                                | Amount<br>Rs.                   |
|-----------------------|--------------------------------|---------------|------------------------|----------------------------------------------------------------------------------------------------------------------------|---------------------------------|
| <b>20X9</b><br>June30 | Balance b/f<br>Credit transfer | 5,000<br>120  | <b>20X9</b><br>June 30 | Bank Charges<br>Subscription chamber of<br>Commerce (standing order)<br><br>Electricity Bill (Direct debit)<br>Balance c/f | 20<br>3,000<br><br>900<br>1,200 |
|                       |                                | <u>5,120</u>  |                        |                                                                                                                            | <u>5,120</u>                    |

**Bank Reconciliation Statement  
As on June 30, 20X9**

|                                   | Rs.          | Rs.              |
|-----------------------------------|--------------|------------------|
| Balance as per Bank Statement     |              | Cr. 5,000        |
| Uncollected Cheques:              |              |                  |
| Dilnawaz Khan                     | 1,250        |                  |
| Elahi Buksh                       | <u>850</u>   | Cr. 2,100        |
| Unpresented Cheques:              |              |                  |
| Rashid Kamal (May)                | 1,700        |                  |
| Ghulam Abbas                      | 1,400        |                  |
| Haider Ali                        | 1,600        |                  |
| Ismail Rana                       | <u>1,200</u> | <u>Dr. 5,900</u> |
|                                   |              | <u>Cr. 1,200</u> |
| Balance as per Adjusted Cash Book |              | <u>Dr. 1,200</u> |

**Journal Entries**

|                                | Rs.   | Rs.   |
|--------------------------------|-------|-------|
| 1      Bank Charges A/c.       | 20    |       |
| Bank A/c.                      |       | 20    |
| 2      Trade subscription A/c. | 3,000 |       |
| Bank A/c.                      |       | 3,000 |
| 3      Electricity Bill A/c.   | 900   |       |
| Bank A/c.                      |       | 900   |
| 4      Bank A/c.               | 120   |       |
| Bad Debts recovered A/c.       |       | 120   |

**Practice 7.3**

**Books of Mehran Bros.  
Cash Book (Bank Column)**

| Dr.          |             |              | Cr.          |                  |              |
|--------------|-------------|--------------|--------------|------------------|--------------|
| Dec.<br>20X8 |             | Rs.          | Dec.<br>20X8 |                  | Rs.          |
| 1            | Balance b/f | 760          | 3            | Drawings         | 400          |
| 7            | Warda       | 840          | 11           | Fateh Din        | 2,380        |
| 15           | Danish      | 2,000        | 15           | Cheque Book      | 20           |
| 19           | Faiqa       | 2,620        | 24           | Pervaiz          | 1,040        |
| 29           | Bashir      | 600          | 26           | Haris            | 760          |
| 31           | Ghazal      | 360          | 29           | Ghazanfar        | 220          |
|              |             |              | 29           | Commission       | 20           |
|              |             |              | 29           | Wages & Salaries | 800          |
|              |             |              | 31           | Balance c/f      | 1,540        |
|              |             | <u>7,180</u> |              |                  | <u>7,180</u> |

**Bank Statement  
Mehran Bros. in Current Account with Bank**

| Dr.          |                            |       | Cr.          |             |       |
|--------------|----------------------------|-------|--------------|-------------|-------|
| Jan.<br>20X9 |                            | Rs.   | Jan.<br>20X9 |             | Rs.   |
| 2            | Pervaiz                    | 1,040 | 1            | Balance b/f | 1,840 |
| 4            | Humaira                    | 80    | 3            | Bashir      | 600   |
| 5            | Bashir (Cheque dishonored) | 600   | 4            | Steel Co.   | 1,230 |
| 6            | Dilbar                     | 450   | 5            | Ghazal      | 360   |
| 8            | Babar                      | 150   | 9            | Dilawar     | 750   |
| 9            | Ghazanfar                  | 220   |              |             |       |
|              |                            |       |              |             |       |

Prepare a bank reconciliation statement as on December 31, 20X8 and compare the pattern of this question with the pattern of Practice 7.2.

**Answer:**

**Bank Reconciliation Statement  
As on December 31, 20X8**

|                                                    | Rs.        | Rs.              |
|----------------------------------------------------|------------|------------------|
| Balance as per Bank Statement on December 31, 20X8 |            | Cr. 1,840        |
| Uncollected Cheques:                               |            |                  |
| Bashir                                             | 600        |                  |
| Ghazal                                             | <u>360</u> | Cr. 960          |
| Unpresented Cheques:                               |            |                  |
| Pervaiz                                            | 1,040      |                  |
| Ghazanfar                                          | <u>220</u> | Dr. 1,260        |
|                                                    |            | <u>Cr. 1,540</u> |
| Balance as per Cash Book on December 31, 20X8      |            | <u>Dr. 1,540</u> |

### Important Tips To Remember (ITTRs)

1. Balance to be shown in Statement of Financial Positions (Balance Sheet) would always be the **balance as per adjusted cash book**.
2. Uncollected cheques are also named as: uncleared cheque, uncredited cheques, uncleared lodgments, deposits in transit and outstanding lodgments.
3. Unpresented cheques are also named as outstanding cheques, uncashed cheques, unpaid cheques.
4. When both balances are given in a question then prepare bank reconciliation statement starting with balance as per bank statement.
5. When only the balance as per cash book is given in the question then first prepare adjusted cash book and then prepare BRS starting with the balance as per adjusted cash book.
6. When only the balance as per bank statement is given; first prepare BRS to find out the balance as per adjusted cash book then put this balance in adjusted cash book as a closing balance and then find out the opening balance of cash book (balance before adjustments) that would be a balancing figure.
7. Never mix up adjusting and reconciling items in one statement, always prepare adjusted cash book and BRS separately.
8. Bank deposit account are mainly of two types; time deposits and demand deposits. Time deposits are the balances held with bank for long-term (non-current assets) as well as for short-term (current assets). Demand deposits are the balances held in current accounts or saving (PLS) accounts. BRS is prepared for demand deposits accounts only.
9. Accounting entries are passed for those reasons that need adjustments in cash book (*adjusting items*)

| a) | Transactions not recorded in cash book  | Effect in Cash Book                        |
|----|-----------------------------------------|--------------------------------------------|
|    | • Credit transfers                      | Dr Bank A/c<br>Cr Income/Receivable A/c    |
|    | • Direct debits                         | Dr Expense/Creditor A/c<br>Cr Bank A/c     |
|    | • Standing order                        | Dr Expense/Creditor A/c<br>Cr Bank A/c     |
|    | • Bank charges                          | Dr Bank Charges A/c<br>Cr Bank A/c         |
|    | • Interest on overdrawn balance         | Dr Interest on Bank OD A/c.<br>Cr Bank A/c |
|    | • Deposited cheque returned dishonoured | Dr Debtors A/c.<br>Cr Bank A/c             |

| b) | Mistakes committed in cash book                                                             |                                     |
|----|---------------------------------------------------------------------------------------------|-------------------------------------|
|    | • Receipts side mistakenly overstated                                                       | Dr Suspense A/c<br>Cr Bank A/c      |
|    | • Receipts side mistakenly understated                                                      | Dr Bank A/c<br>Cr Suspense A/c      |
|    | • Payments side mistakenly overstated                                                       | Dr Bank A/c<br>Cr suspense A/c      |
|    | • Payments side mistakenly understated                                                      | Dr Suspense A/c<br>Cr Bank A/c      |
|    | • Issued cheque returned dishonoured but in replacement a new cheque was issued immediately | (No effect in the book of accounts) |

### **Exercise Question**

**Q. 1**

**Cash Book (Bank Column)**

| Dr.          |             |              | Cr.          |                  |              |
|--------------|-------------|--------------|--------------|------------------|--------------|
| Dec.<br>20X8 |             | Rs.          | Dec.<br>20X8 |                  | Rs.          |
| 1            | Balance b/f | 760          | 3            | Drawings         | 400          |
| 7            | Warda       | 840          | 11           | Fateh Din        | 2,380        |
| 15           | Danish      | 2,000        | 15           | Cheque Book      | 20           |
| 19           | Faiqa       | 2,620        | 24           | Pervaiz          | 1,040        |
| 29           | Bashir      | 600          | 26           | Haris            | 760          |
| 31           | Ghazal      | 360          | 29           | Ghazanfar        | 220          |
|              |             |              | 29           | Commission       | 20           |
|              |             |              | 29           | Wages & Salaries | 800          |
|              |             |              | 31           | Balance c/f      | 1,540        |
|              |             | <u>7,180</u> |              |                  | <u>7,180</u> |

**Bank Statement  
Mehran Bros. in Current Account with Bank**

| Dr.          |                            |       | Cr.          |             |       |
|--------------|----------------------------|-------|--------------|-------------|-------|
| Jan.<br>20X9 |                            | Rs.   | Jan.<br>20X9 |             | Rs.   |
| 2            | Pervaiz                    | 1,040 | 1            | Balance b/f | 1,840 |
| 4            | Humaira                    | 80    | 3            | Bashir      | 600   |
| 5            | Bashir (Cheque dishonored) | 600   | 4            | Steel Co.   | 1,230 |
| 6            | Dilbar                     | 450   | 5            | Ghazal      | 360   |
| 8            | Babar                      | 150   | 9            | Dilawar     | 750   |
| 9            | Ghazanfar                  | 220   |              |             |       |
|              |                            |       |              |             |       |

Prepare a bank reconciliation statement as on December 31, 20X8

**Answer:**

**Bank Reconciliation Statement  
As on December 31, 20X8**

|                                                    | Rs.        | Rs.              |
|----------------------------------------------------|------------|------------------|
| Balance as per Bank Statement on December 31, 20X8 |            | Cr. 1,840        |
| Uncollected Cheques:                               |            |                  |
| Bashir                                             | 600        |                  |
| Ghazal                                             | <u>360</u> | Cr. 960          |
| Unpresented Cheques:                               |            |                  |
| Pervaiz                                            | 1,040      |                  |
| Ghazanfar                                          | <u>220</u> | Dr. 1,260        |
|                                                    |            | <u>Cr. 1,540</u> |
| Balance as per Cash Book on December 31, 20X8      |            | <u>Dr. 1,540</u> |

**Examination Question**

4. The balance in Iqbal's cash book is Rs.850 debit. This balance includes the following:
- 1) Rs.300 cheques which have been drawn but not yet presented to the bank
  - 2) Rs.1,000 deposits made but not yet credited in the bank statement
  - 3) Iqbal has forgotten to enter a direct debit payment of Rs.100 in his cash book.

Once these adjustments have been made the cash book and bank statements will agree.

**What was the balance on Iqbal's bank statement?**

- a) Rs.1,450 favorable
  - b) Rs.150 unfavorable
  - c) Rs.50 unfavorable**
  - d) Rs.1,550 favorable
5. Sharmin's bank statement at 31 October 20X8 shows a balance of Rs.13,400. She subsequently discovers that the bank has dishonored a customer's cheque for Rs.300 and has charged bank charges of Rs.50, neither of which is recorded in the cash book. There are unpresented cheques totaling Rs.1,400 and an automatic receipt from a customer of Rs.195 has been recorded as a credit in Sharmin's cash book.

**Sharmin's cash book balance, prior to correcting the errors and omissions, was:**

- a) Rs.11,455 favorable
  - b) Rs.11,960 favorable**
  - c) Rs.12,000 favorable
  - d) Rs.12,155 favorable
6. The following bank reconciliation statement has been prepared by an inexperienced bookkeeper at 31 December 20X8:

|                                        | Rs.           |
|----------------------------------------|---------------|
| Balance per bank statement (overdrawn) | 38,640        |
| Add: Lodgments not credited            | <u>19,270</u> |
|                                        | <b>57,910</b> |
| Less: Unpresented cheques              | <u>14,260</u> |
| Balance per cash book                  | <b>43,650</b> |

**What should the final cash book balance be when all the above items have been properly dealt with?**

- A. Rs.43,650 overdrawn
  - B. Rs.33,630 overdrawn**
  - C. Rs.5,110 overdrawn
  - D. Rs.72,170 overdrawn
7. A company's cashbook shows a debit balance of Rs.700. The bank statement as at the same date shows an overdrawn balance of Rs.210.

**Which one of the following timing differences could account for the discrepancy?**

- A. Cheques drawn but not yet presented Rs.490
- B. Cheques deposited but not yet cleared Rs.490
- C. Cheques drawn but not yet presented Rs.910
- D. Cheques deposited but not yet cleared Rs.910**

## Chapter – 8

### ACCRUAL ACCOUNTING

| Sr. No | Course Outline Topics                                    |
|--------|----------------------------------------------------------|
| 1      | Basic Concepts of Accruals based Accounting              |
| 2      | Technique for calculating expense for the year           |
| 3      | Technique for calculating income for the year            |
| 4      | One and two account method approach - Expense in arrear  |
| 5      | One and two account method approach - Expense in advance |
| 6      | Accrued Income                                           |
| 7      | Advance Income                                           |
| 8      | Diagrammatic understanding of Accruals and Prepayments   |
| 9      | Adjusting and Closing entries                            |

**Topic 069 – 077 are included in this chapter.**

## Cash and Accrual Basis of Accounting

There are two bases to present financial performance of a business entity; 1) Cash basis and 2) Accrual basis.

Conventionally, small business entities prepare financial statements on “*Cash Basis*”, where all the cash payments during the current accounting period are recognized as expense, except for owners’ drawing, acquiring long lived assets and repayment of loans. In the same way all cash receipts during one accounting period are recognized as income, except for receipt of capital from owner, collection of cash by selling long lived assets and receiving cash as loan.

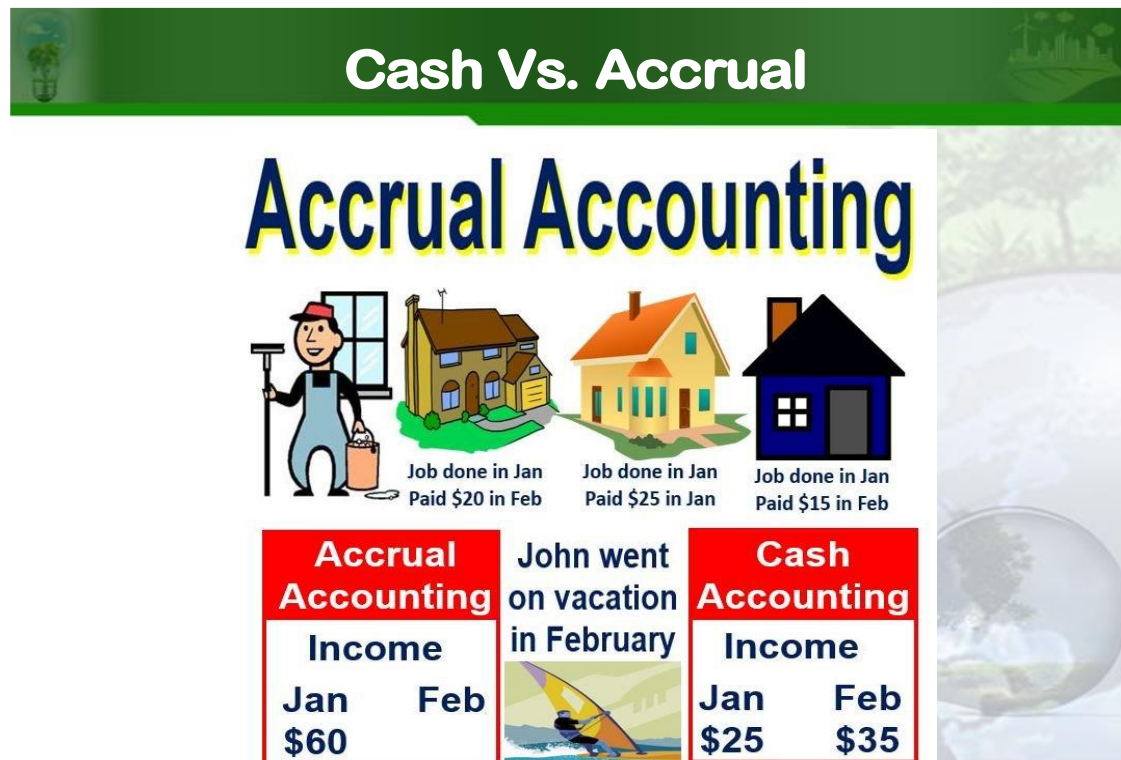
Under cash basis of accounting it is not consider whether the economic benefit associated to such cash payments or receipts belong to the current, previous or the future accounting/reporting period.

Cash basis of preparing financial statements is very easy to handle and less costly, because no complex accounting system is required to be developed and implemented.

The business entities of considerable size follow “*Accrual Basis*”, where expenses and incomes are measured based on the matching principle of accounting for measuring accurate performance of the business entity. Expenses that belong to a specific accounting/reporting period are subtracted from the Incomes that belong to the same specific period. It does not consider whether the cash has been paid for such expenses or not and the cash has been received for those incomes or not. In certain cases, cash had paid in advance in the previous accounting period or cash will be paid in the next accounting/reporting period but its expense is recognized in the current accounting period. Same scenario applies to incomes.

Since the expenses are recognized in the current period on accrual basis; their reciprocal outstanding payment is recognized as liability and if the expense is not recognized in the current period despite its payment has been made in advance then its reciprocal prepayment is recognized as asset. In the same way, since the incomes are recognized in the current period on accrual basis; their reciprocal outstanding collection is recognized as asset and if the income was not recognized in the current period despite its cash has been received in advance then its reciprocal collection is recognized as liability.

Although little complex but accrual concept is very interesting to learn. Following formulae will help in calculating accurate amount of expense and income for the period under accrual basis.



**Technique for calculating expense for the year (for the reporting period)**Expenses (with closing balances of: 1) accrued expense due and 2) advance payment)

|      |                            |                                                               |
|------|----------------------------|---------------------------------------------------------------|
|      | Expenses Paid              | (During the year) <i>appearing in cash book payment side</i>  |
| Add  | Closing accrued/due        | (Expenses for current year still to be paid) <b>Liability</b> |
| Less | Closing advance/prepayment | (Advance payment for expense made) <b>Asset</b>               |
|      | Expenses for the year      | (It is closed to Income Statement as <i>Expense</i> )         |

Expenses (with opening and closing balances of: 1) accrued expense due and 2) advance payment)

|      |                            |                                                              |
|------|----------------------------|--------------------------------------------------------------|
|      | Expenses Paid              | (During the year) <i>appearing in cash book payment side</i> |
| Add  | Closing accrued/due        | (Expenses for the year still to be paid) <b>Liability</b>    |
| Less | Opening accrued/due        | (Liability that was paid during the current year)            |
| Less | Closing advance/prepayment | (Advance payment for expense made) <b>Asset</b>              |
| Add  | Opening advance/prepayment | (Paid in previous year for the current year)                 |
|      | Expenses for the year      | (It is closed to Income Statement as <i>Expense</i> )        |

**Practice 8.1**

Cash paid for expense during the year Rs.7,000, opening balance of expense due was Rs.250 and opening balance of prepaid expenses was Rs.400, on closing date expense still due is Rs.300 and prepaid expense is Rs.700

**Required:** Prepare expense a/c, expense due a/c and prepaid expense a/c

| Expense account |              |                                             |              |
|-----------------|--------------|---------------------------------------------|--------------|
| Particular      | Debit Rs.    | Particulars                                 | Credit Rs.   |
| Op. Advance     | 400          | Op. Owing                                   | 250          |
| Cash Paid       | 7,000        | Cl. Advance                                 | 700          |
| Cl. Owing       | 300          | <b>Profit &amp; Loss (balancing figure)</b> | <b>6,750</b> |
|                 | <u>7,700</u> |                                             | <u>7,700</u> |

| Accrued (Due) Expenses account |            |                              |            |
|--------------------------------|------------|------------------------------|------------|
| Particular                     | Rs.        | Particulars                  | Rs.        |
| Op Bal transferred to Exp. A/c | 250        | Balance b/f                  | 250        |
| Balance c/f                    | 300        | Cl owing charged to Exp. a/c | 300        |
|                                | <u>550</u> |                              | <u>550</u> |

| Prepaid (Advance) Expenses account |             |                                |             |
|------------------------------------|-------------|--------------------------------|-------------|
| Particular                         | Rs.         | Particulars                    | Rs.         |
| Balance b/f                        | 400         | Op Balance Charged to Exp. a/c | 400         |
| Cl Adv transferred from Exp. a/c   | 700         | Balance c/f                    | 700         |
|                                    | <u>1100</u> |                                | <u>1100</u> |

### Technique for calculating income for the year (reporting period)

For Incomes (with closing balances for income owing and advance receipt):

|   |                          |                                                             |
|---|--------------------------|-------------------------------------------------------------|
|   | Income Received          | (During the year) <i>Cash book receipt side</i>             |
| + | Closing owing/due        | (Income for current year still to be received) <i>Asset</i> |
| - | Closing advance/unearned | (Advance Receipts for next year) <i>Liability</i>           |
|   | Incomes for the year     | (It is closed to Income Statement as <i>Income</i> )        |

For Incomes (with opening and closing balances for income owing and advance receipt):

|   |                          |                                                             |
|---|--------------------------|-------------------------------------------------------------|
|   | Income Received          | (During the year) <i>Cash book receipt side</i>             |
| + | Closing owing/due        | (Income for current year still to be received) <i>Asset</i> |
| - | Opening owing/due        | (Asset that was received during the current year)           |
| - | Closing advance/unearned | (Advance Receipts for next year) <i>Liability</i>           |
| + | Opening advance/unearned | (Received in previous year for the current year)            |
|   | Incomes for the year     | (It is closed to Income Statement as <i>Income</i> )        |

### Practice 8.2

Income received during the year Rs.3,000, opening balance of income due was Rs.150 and opening balance of unearned income was Rs.500, on closing date income still due is Rs.70 and unearned income on closing date is Rs.50.

**Required:** Prepare income a/c, income due a/c and unearned income A/c.

| Income Account                              |              |                 |              |
|---------------------------------------------|--------------|-----------------|--------------|
| Particular                                  | Debit Rs.    | Particulars     | Credit Rs.   |
| Opening Owing                               | 150          | Opening Advance | 500          |
| Closing Advance                             | 50           | Cash Received   | 3,000        |
| <b>Profit &amp; Loss (balancing figure)</b> | <b>3,370</b> | Closing Owing   | 70           |
|                                             | <u>3,570</u> |                 | <u>3,570</u> |

| Accrued (Due) Income Account       |            |                                  |            |
|------------------------------------|------------|----------------------------------|------------|
| Particular                         | Rs.        | Particulars                      | Rs.        |
| Balance b/f                        | 150        | Op Bal transferred to Income a/c | 150        |
| Cl Bal transferred from Income a/c | 70         | Balance c/f                      | 70         |
|                                    | <u>220</u> |                                  | <u>220</u> |

| Unearned (Advance) Income Account |            |                                    |            |
|-----------------------------------|------------|------------------------------------|------------|
| Particular                        | Rs.        | Particulars                        | Rs.        |
| Op Bal transferred to Income A/c. | 500        | Balance b/f                        | 500        |
| Balance c/f                       | 50         | Cl Bal transferred from Income a/c | 50         |
|                                   | <u>550</u> |                                    | <u>550</u> |

### For Statement of Financial Position (Balance Sheet)

|                  |       |           |
|------------------|-------|-----------|
| Expense Due      | _____ | Liability |
| Income Due       | _____ | Asset     |
| Advance Payment  | _____ | Asset     |
| Advance Receipts | _____ | Liability |

**Practice 8.3**

Rent is paid quarterly **in arrear**:

| Payment Date  | Payment Period           | Amount (Rs.) |
|---------------|--------------------------|--------------|
| Jan 31, 20X8  | Nov X7, Dec X7, Jan X8   | 9,000        |
| Apr 30, 20X8  | Feb X8, March X8, Apr X8 | 9,500        |
| July 31, 20X8 | May X8, June X8, July X8 | 10,000       |
| Oct 31, 20X8  | Aug X8, Sep X8, Oct X8   | 10,000       |
| Jan 31, 20X9  | Nov X8, Dec X8, Jan X9   | 10,500       |

Reporting Period (**Jan 1, 20X8 to Dec 31, 20X8**)

|                                |                                   |                                            |                      |
|--------------------------------|-----------------------------------|--------------------------------------------|----------------------|
|                                |                                   |                                            | Rs.                  |
| Cash paid during the year      | (W-3) – 1st Jan X8 to 31st Dec X8 |                                            | 38,500               |
| Less: Opening Accrual          | (W - 1) – Nov X7 and Dec X7       |                                            | (6,000)              |
| Add: Closing Accruals          | (W - 2) – Nov X8 and Dec X8       |                                            | 7,000                |
| <b>Expense for the year</b>    |                                   |                                            | <b><u>39,500</u></b> |
| <br>                           |                                   |                                            |                      |
| <b>W – 1:</b> Opening Accruals | =                                 | $9,000 \times \frac{2}{3} = 6,000$         |                      |
| <b>W – 2:</b> Closing Accruals | =                                 | $10,500 \times \frac{2}{3} = 7,000$        |                      |
| <b>W – 3:</b> Cash paid        | =                                 | $9,000 + 9,500 + 10,000 + 10,000 = 38,500$ |                      |

**One Account Method:****Rent Payable A/c.**

|                                  |               |                                             |               |
|----------------------------------|---------------|---------------------------------------------|---------------|
|                                  | Rs.           |                                             | Rs.           |
| Cash paid                        | 38,500        | Opening rent payable balance b/f            | 6,000         |
| Closing rent payable balance c/f | 7,000         | <b>Profit &amp; Loss (balancing figure)</b> | <b>39,500</b> |
|                                  | <u>45,500</u> |                                             | <u>45,500</u> |

**Accounting Entries**

| Particulars                                                     | Debit Rs. | Credit Rs. |
|-----------------------------------------------------------------|-----------|------------|
| Rent Payable A/c.                                               | 38,500    |            |
| Cash A/c.                                                       |           | 38,500     |
| (Rent paid in cash)                                             |           |            |
| Profit & Loss A/c.                                              | 39,500    |            |
| Rent Payable A/c.                                               |           | 39,500     |
| (Closing entry for rent expense – Closed into Income Statement) |           |            |

**Two Account Method****Rent Payable A/c.**

|                                  | <b>Rs.</b>    |                                  | <b>Rs.</b>    |
|----------------------------------|---------------|----------------------------------|---------------|
| Rent expense                     | 6,000         | Opening rent payable balance b/f | 6,000         |
| Closing rent payable balance c/f | <u>7,000</u>  | Rent expense                     | <u>7,000</u>  |
|                                  | <u>13,000</u> |                                  | <u>13,000</u> |

**Rent Expense A/c.**

|                                | <b>Rs.</b>    |                                             | <b>Rs.</b>           |
|--------------------------------|---------------|---------------------------------------------|----------------------|
| Cash paid                      | 38,500        | Rent Payable (Opening balance)              | 6,000                |
| Rent Payable (Closing balance) | <u>7,000</u>  | <b>Profit &amp; Loss (balancing figure)</b> | <b><u>39,500</u></b> |
|                                | <u>45,500</u> |                                             | <u>45,500</u>        |

| <b>Particulars</b>                                              | <b>Debit Rs.</b> | <b>Credit Rs.</b> |
|-----------------------------------------------------------------|------------------|-------------------|
| Rent Expense A/c.                                               | 38,500           |                   |
| Cash A/c.                                                       |                  | 38,500            |
| (Rent paid in cash)                                             |                  |                   |
| Rent Payable A/c.                                               | 6,000            |                   |
| Rent Expense A/c.                                               |                  | 6,000             |
| (Opening balance rent due transferred)                          |                  |                   |
| Rent expense A/c.                                               | 7,000            |                   |
| Rent Payable A/c.                                               |                  | 7,000             |
| (Rent of current year is still due.)                            |                  |                   |
| Profit & Loss A/c.                                              | 39,500           |                   |
| Rent Expense A/c.                                               |                  | 39,500            |
| (Closing entry for rent expense – Closed into Income Statement) |                  |                   |

**Practice 8.4**

Rent is paid Quarterly **in Advance**

| Payment Date | Payment Period          | Amount (Rs.) |
|--------------|-------------------------|--------------|
| Nov. 1, 20X8 | Nov X8, Dec X8, Jan X9  | 9,000        |
| Feb. 1, 20X9 | Feb X9, Mar X9, Apr X9  | 9,500        |
| May 1, 20X9  | May X9, June X9, Jul X9 | 10,000       |
| Aug. 1, 20X9 | Aug X9, Sep X9, Oct X9  | 10,000       |
| Nov. 1, 20X9 | Nov X9, Dec X9, Jan Y0  | 10,500       |

Reporting Period (Jan. 1, 20X9 to Dec. 31, 20X9)

|                           |                                       |               | Rs.                                         |
|---------------------------|---------------------------------------|---------------|---------------------------------------------|
| Cash paid during the year | (W-3) – 1ST Jan 20X9 to 31st Dec 20X9 |               | 40,000                                      |
| Add: Opening Advance      | (W - 1) – Jan 20X9                    |               | 3,000                                       |
| Less: Closing Advance     | (W - 2) – Jan 20Y0                    |               | <u>(3,500)</u>                              |
| Expense for the year      |                                       | $\frac{1}{1}$ | <u>39,500</u>                               |
| <b>W – 1:</b>             | Opening Advance                       | =             | $9,000 \times \frac{1}{3} = 3,000$          |
| <b>W – 2:</b>             | Closing Advance                       | =             | $10,500 \times \frac{1}{3} = 3,500$         |
| <b>W – 3:</b>             | Cash paid                             | =             | $9,500 + 10,000 + 10,000 + 10,500 = 40,000$ |

**One Account Method:****Prepaid (Advance) Rent A/c.**

|                                  | Rs.           |                                             | Rs.           |
|----------------------------------|---------------|---------------------------------------------|---------------|
| Opening prepaid rent balance b/f | 3,000         | <b>Profit &amp; Loss (balancing figure)</b> | <b>39,500</b> |
| Cash paid                        | <u>40,000</u> | Closing prepaid rent balance c/f            | <u>3,500</u>  |
|                                  | <u>43,000</u> |                                             | <u>43,000</u> |

| Particulars                                                     | Debit Rs. | Credit Rs. |
|-----------------------------------------------------------------|-----------|------------|
| Prepaid (Advance) Rent A/c.                                     | 40,000    |            |
| Cash A/c.                                                       |           | 40,000     |
| (Rent paid in cash)                                             |           |            |
| Profit & Loss A/c.                                              | 39,500    |            |
| Prepaid (Advance) Rent A/c.                                     |           | 39,500     |
| (Closing entry for rent expense – Closed into Income Statement) |           |            |

**Two Account Method****Advance Rent A/c.**

|              | Rs           |              | Rs.          |
|--------------|--------------|--------------|--------------|
| Balance b/f  | 3,000        | Rent Expense | 3,000        |
| Rent Expense | <u>3,500</u> | Balance c/f  | <u>3,500</u> |
|              | <u>6,500</u> |              | <u>6,500</u> |

**Rent Expense A/c.**

|                      | Rs            |                              | Rs.           |
|----------------------|---------------|------------------------------|---------------|
| Opening advance rent | 3,000         | Closing advance rent         | 3,500         |
| Cash paid            | <u>40,000</u> | <b>Profit &amp; Loss (B)</b> | <u>39,500</u> |
|                      | <u>43,000</u> |                              | <u>43,000</u> |

**Accounting Entries**

| Particulars                                                                                    | Debit<br>Rs. | Credit<br>Rs. |
|------------------------------------------------------------------------------------------------|--------------|---------------|
| Rent Expense A/c.<br>Cash A/c.<br>(Rent paid in cash.)                                         | 40,000       | 40,000        |
| Rent Expense A/c.<br>Advance Rent A/c.<br>(Opening balance of advance rent transferred)        | 3,000        | 3,000         |
| Advance Rent A/c.<br>Rent Expense A/c.<br>(Rent paid in advance transferred from rent Expense) | 3,500        | 3,500         |
| Income Statement A/c.<br>Rent Expense A/c.<br>(Closing entry for rent expense.)                | 39,500       | 39,500        |

**Practice 8.5 (Income in Arrear)**

Rent is received quarterly **in arrear**:

| Receipt Date  | Receipt Period           | Amount (Rs.) |
|---------------|--------------------------|--------------|
| Jan 31, 20X8  | Nov X7, Dec X7, Jan X8   | 9,000        |
| Apr 30, 20X8  | Feb X8, March X8, Apr X8 | 9,500        |
| July 31, 20X8 | May X8, June X8, July X8 | 10,000       |
| Oct 31, 20X8  | Aug X8, Sep X8, Oct X8   | 10,000       |
| Jan 31, 20X9  | Nov X8, Dec X8, Jan X9   | 10,500       |

Reporting Period (**Jan 1, 20X8 to Dec 31, 20X8**)

|                               |                                   |                      |
|-------------------------------|-----------------------------------|----------------------|
| Cash received during the year | (W-3) – 1st Jan X8 to 31st Dec X8 | Rs.<br>38,500        |
| Less: Opening Accrual         | (W - 1) – Nov X7 and Dec X7       | (6,000)              |
| Add: Closing Accrual          | (W - 2) – Nov X8 and Dec X8       | <u>7,000</u>         |
| <b>Income for the year</b>    |                                   | <b><u>39,500</u></b> |

$$\text{W - 1:} \quad \text{Opening Accruals} = 9,000 \times \frac{2}{3} = 6,000$$

$$\text{W - 2:} \quad \text{Closing Accruals} = 10,500 \times \frac{2}{3} = 7,000$$

$$\text{W - 3:} \quad \text{Cash paid} = 9,000 + 9,500 + 10,000 + 10,000 = 38,500$$

**One Account Method:****Rent Receivable A/c.**

|                                             | Rs.           |                                     | Rs.           |
|---------------------------------------------|---------------|-------------------------------------|---------------|
| Opening rent receivable balance b/f         | 6,000         | Cash received                       | 38,500        |
| <b>Profit &amp; Loss (balancing figure)</b> | <b>39,500</b> | Closing rent receivable balance c/f | 7,000         |
|                                             | <u>45,500</u> |                                     | <u>45,500</u> |

**Accounting Entries**

| Particulars                                                    | Debit Rs. | Credit Rs. |
|----------------------------------------------------------------|-----------|------------|
| Cash A/c.                                                      | 38,500    |            |
| Rent receivable A/c.                                           |           | 38,500     |
| (Rent received in cash)                                        |           |            |
| Rent receivable A/c.                                           | 39,500    |            |
| Profit & Loss A/c.                                             |           | 39,500     |
| (Closing entry for rent income – Closed into Income Statement) |           |            |

**Two Account Method****Rent Receivable A/c.**

|                                     | <b>Rs.</b>    |                                     | <b>Rs.</b>    |
|-------------------------------------|---------------|-------------------------------------|---------------|
| Opening rent receivable balance b/f | 6,000         | Rent income                         | 6,000         |
| Rent income                         | <u>7,000</u>  | Closing rent receivable balance c/f | <u>7,000</u>  |
|                                     | <u>13,000</u> |                                     | <u>13,000</u> |

**Rent Income A/c.**

|                                             | <b>Rs.</b>    |                         | <b>Rs.</b>    |
|---------------------------------------------|---------------|-------------------------|---------------|
| Rent receivable opening                     | 6,000         | Cash received           | 38,500        |
| <b>Profit &amp; Loss (balancing figure)</b> | <u>39,500</u> | Rent receivable closing | <u>7,000</u>  |
|                                             | <u>45,500</u> |                         | <u>45,500</u> |

| <b>Particulars</b>                                             | <b>Debit Rs.</b> | <b>Credit Rs.</b> |
|----------------------------------------------------------------|------------------|-------------------|
| Cash A/c.                                                      | 38,500           |                   |
| Rent income A/c.                                               |                  | 38,500            |
| (Rent received in cash)                                        |                  |                   |
| Rent Income A/c.                                               | 6,000            |                   |
| Rent Receivable A/c.                                           |                  | 6,000             |
| (Opening balance rent due transferred)                         |                  |                   |
| Rent Receivable A/c.                                           | 7,000            |                   |
| Rent Income A/c.                                               |                  | 7,000             |
| (Rent of current year is still due.)                           |                  |                   |
| Rent Income A/c.                                               | 39,500           |                   |
| Profit & Loss A/c.                                             |                  | 39,500            |
| (Closing entry for rent income – Closed into Income Statement) |                  |                   |

**Practice 8.6 (Income in Advance)**Rent is received Quarterly **in Advance**

| Receipt Date | Receipt Period          | Amount (Rs.) |
|--------------|-------------------------|--------------|
| Nov. 1, 20X8 | Nov X8, Dec X8, Jan X9  | 9,000        |
| Feb. 1, 20X9 | Feb X9, Mar X9, Apr X9  | 9,500        |
| May 1, 20X9  | May X9, June X9, Jul X9 | 10,000       |
| Aug. 1, 20X9 | Aug X9, Sep X9, Oct X9  | 10,000       |
| Nov. 1, 20X9 | Nov X9, Dec X9, Jan Y0  | 10,500       |

Reporting Period (Jan. 1, 20X9 to Dec. 31, 20X9)

|                               |                                       |               | Rs.                                         |
|-------------------------------|---------------------------------------|---------------|---------------------------------------------|
| Cash received during the year | (W-3) – 1ST Jan 20X9 to 31st Dec 20X9 |               | 40,000                                      |
| Add: Opening Advance          | (W - 1) – Jan 20X9                    |               | 3,000                                       |
| Less: Closing Advance         | (W - 2) – Jan 20Y0                    |               | <u>(3,500)</u>                              |
| Income for the year           |                                       | $\frac{1}{-}$ | <u>39,500</u>                               |
| <b>W – 1:</b>                 | Opening Advance                       | =             | $9,000 \times \frac{1}{3} = 3,000$          |
| <b>W – 2:</b>                 | Closing Advance                       | =             | $10,500 \times \frac{1}{3} = 3,500$         |
| <b>W – 3:</b>                 | Cash Received                         | =             | $9,500 + 10,000 + 10,000 + 10,500 = 40,000$ |

**One Account Method:****Unearned (Advance) Rent A/c.**

|                                             | Rs.           |                          | Rs.           |
|---------------------------------------------|---------------|--------------------------|---------------|
| <b>Profit &amp; Loss (balancing figure)</b> | <b>39,500</b> | Opening advance rent b/f | 3,000         |
| Closing Advance rent c/f                    | <u>3,500</u>  | Cash Received            | <u>40,000</u> |
|                                             | <u>43,000</u> |                          | <u>43,000</u> |

| Particulars                                                    | Debit Rs. | Credit Rs. |
|----------------------------------------------------------------|-----------|------------|
| Cash A/c.                                                      | 40,000    |            |
| Unearned (Advance) Rent A/c.                                   |           | 40,000     |
| (Rent received in cash)                                        |           |            |
| Unearned (Advance) Rent A/c.                                   | 39,500    |            |
| Profit & Loss A/c.                                             |           | 39,500     |
| (Closing entry for rent income – Closed into Income Statement) |           |            |

**Two Account Method****Advance Rent A/c.**

|                 | Rs           |                 | Rs.          |
|-----------------|--------------|-----------------|--------------|
| Rent Income A/c | 3,000        | Balance b/f     | 3,000        |
| Balance c/f     | <u>3,500</u> | Rent Income A/c | <u>3,500</u> |
|                 | <u>6,500</u> |                 | <u>6,500</u> |

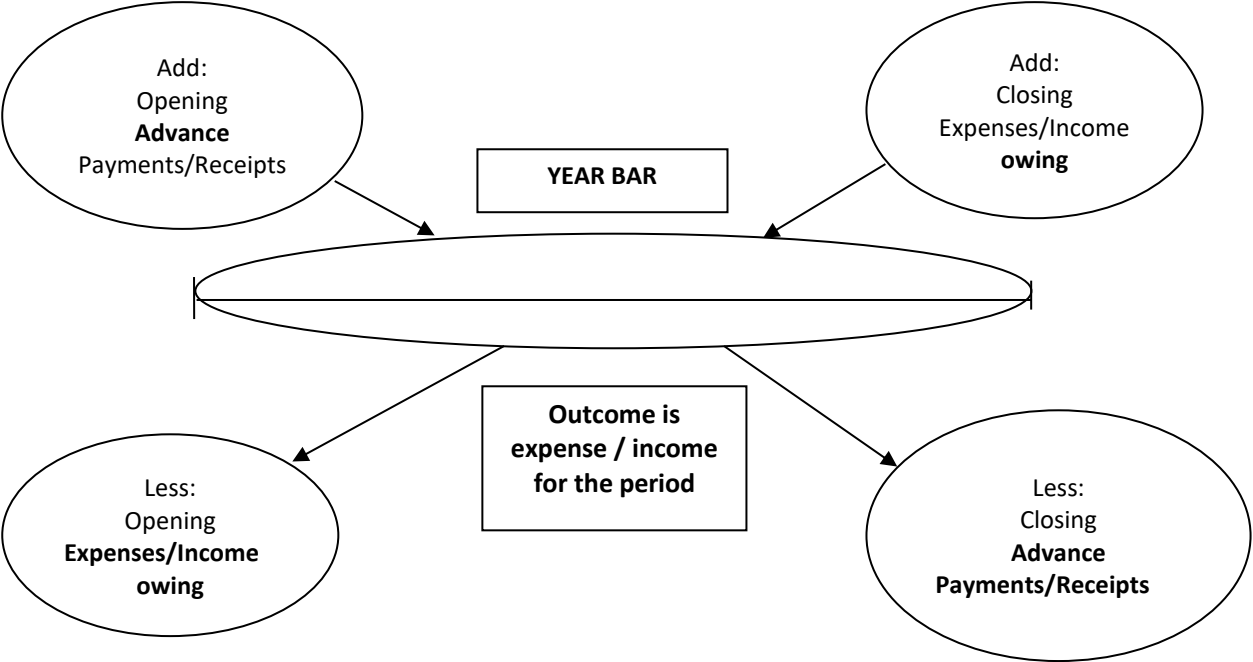
**Rent Income A/c.**

|                              | Rs            |                      | Rs.           |
|------------------------------|---------------|----------------------|---------------|
| Advance Rent Closing         | 3,500         | Advance Rent Opening | 3,000         |
| <b>Profit &amp; Loss (B)</b> | <b>39,500</b> | Cash Received        | <u>40,000</u> |
|                              | <u>43,000</u> |                      | <u>43,000</u> |

**Accounting Entries**

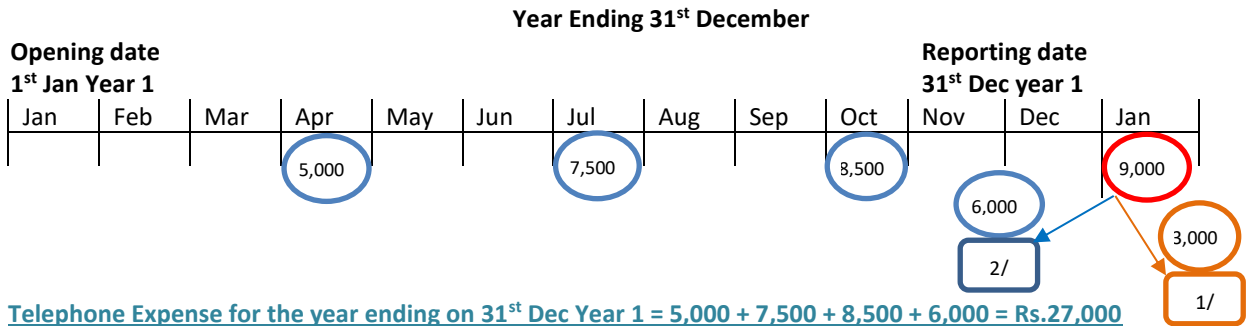
| Particulars                                                                                      | Debit<br>Rs. | Credit<br>Rs. |
|--------------------------------------------------------------------------------------------------|--------------|---------------|
| Cash A/c.<br>Rent Income A/c.<br>(Rent income received in cash)                                  | 40,000       | 40,000        |
| Advance Rent A/c.<br>Rent Income A/c.<br>(Opening balance of advance rent transferred)           | 3,000        | 3,000         |
| Rent Income A/c.<br>Advance Rent A/c.<br>(Rent received in advance transferred from rent Income) | 3,500        | 3,500         |
| Rent Income A/c.<br>Profit & Loss A/c.<br>(Closing entry for rent income)                        | 39,500       | 39,500        |

Diagrammatic Understanding of Accruals and Prepayments



**Practice 8.7****YEAR 1**

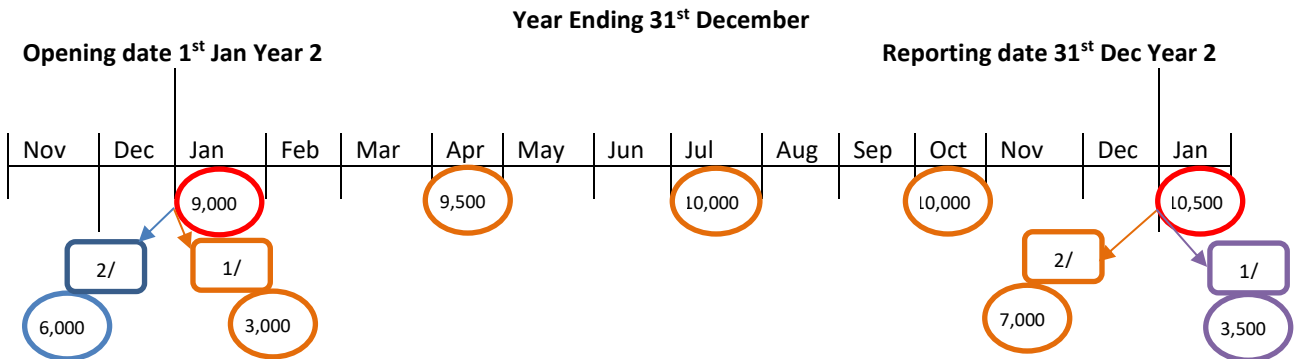
- Yasin sets up a business on 1st January year 1 with 31<sup>st</sup> December as end of reporting period
- He acquires a telephone connection on 1<sup>st</sup> February and agrees to pay bill quarterly (3 months) in arrear
- Year 1 invoices are paid as follows:
  - 3 months ending 30th April year 1 Rs.5,000
  - 3 months ending 31st July year 1 Rs.7,500
  - 3 months ending 31st October year 1 Rs.8,500
- The invoice as at 31st January year 2 is Rs.9,000



Rs.9,000 will be paid in next year out of which Rs.6,000 relates to the current reporting period and is accrued/due on reporting date 31<sup>st</sup> Dec Year 1.

**YEAR 2**

- Year 2 invoices are paid as follows:
  - 3 months ending 31st January year 2 Rs.9,000
  - 3 months ending 30th April year 2 Rs.9,500
  - 3 months ending 31st July year 2 Rs.10,000
  - 3 months ending 31st October year 2 Rs.10,000
- The invoice as at 31st January year 3 is expected to be Rs.10,500



Telephone Expense for the year ending on 31<sup>st</sup> Dec. Year 2 = 3,000 + 9,500 + 10,000 + 10,000 + 7,000 = Rs.39,500

Rs.10,500 will be paid in next year out of which Rs.7,000 relates to the current reporting period and is accrued/due on reporting date 31<sup>st</sup> Dec Year 2.

**Answer:**

- One account method
- Two account method

**One account method**

**YEAR 1**

| Telephone Payable Account |             |               |        |                                     |               |
|---------------------------|-------------|---------------|--------|-------------------------------------|---------------|
|                           |             | Rs.           |        |                                     | Rs.           |
| Apr 30                    | Bank        | 5,000         | Dec 31 | Profit & Loss<br>(balancing figure) | 27,000        |
| July 31                   | Bank        | 7,500         |        |                                     |               |
| Oct 30                    | Bank        | 8,500         |        |                                     |               |
| Dec 31                    | Closing due | 6,000         |        |                                     |               |
|                           |             | <u>27,000</u> |        |                                     | <u>27,000</u> |

**One account method**

**YEAR 2**

| Telephone Payable Account |             |               |        |                                     |               |
|---------------------------|-------------|---------------|--------|-------------------------------------|---------------|
|                           |             | Rs.           |        |                                     | Rs.           |
| Jan 31                    | Bank        | 9,000         |        | Opening due                         | 6,000         |
| Apr 30                    | Bank        | 9,500         | Dec 31 | Profit & Loss<br>(Balancing figure) | 39,500        |
| July 31                   | Bank        | 10,000        |        |                                     |               |
| Oct 30                    | Bank        | 10,000        |        |                                     |               |
| Dec 31                    | Closing due | 7,000         |        |                                     |               |
|                           |             | <u>45,500</u> |        |                                     | <u>45,500</u> |

## Two account method

### YEAR 1

| <i>Telephone Expenses Account</i> |             |               |                    |               |           |
|-----------------------------------|-------------|---------------|--------------------|---------------|-----------|
|                                   |             | Rs.           |                    | Rs.           |           |
| Apr 30                            | Bank        | 5,000         | Dec 31             |               |           |
| July 31                           | Bank        | 7,500         | Profit & Loss      | 27,000        | Expenses  |
| Oct 30                            | Bank        | 8,500         | (Balancing figure) |               | Year 1    |
| Dec 31                            | Payable a/c | 6,000         |                    |               |           |
|                                   |             | <u>27,000</u> |                    | <u>27,000</u> |           |
| <i>Telephone Payable Account</i>  |             |               |                    |               |           |
|                                   |             | Rs.           |                    | Rs.           |           |
| Dec 31                            |             |               | Dec 31             |               |           |
|                                   | Bal c/f     | 6,000         | Telephone expenses | 6,000         | Liability |
|                                   |             | <u>6,000</u>  |                    | <u>6,000</u>  | Year 1    |

## Two account method

### YEAR 2

| <i>Telephone Expenses Account</i> |             |               |                    |               |                         |
|-----------------------------------|-------------|---------------|--------------------|---------------|-------------------------|
|                                   |             | Rs.           |                    | Rs.           |                         |
| Jan 31                            | Bank        | 9,000         | Jan 1              |               |                         |
| Apr 30                            | Bank        | 9,500         | Telephone payable  | 6,000         | Reversal of the accrual |
| Jul 31                            | Bank        | 10,000        | Dec 31             |               |                         |
| Oct 30                            | Bank        | 10,000        | Profit & Loss      | 39,500        | Expenses year 2         |
| Dec 31                            | Tel payable | 7,000         | (Balancing figure) |               |                         |
|                                   |             | <u>46,000</u> |                    | <u>45,500</u> |                         |
| <i>Telephone Payable Account</i>  |             |               |                    |               |                         |
|                                   |             | Rs.           |                    | Rs.           |                         |
| Telephone exp.                    |             | 6,000         | Balance b/f        | 6,000         |                         |
| Balance c/f                       |             | 7,000         | Telephone exp.     | 7,000         | Liability Year 2        |
|                                   |             | <u>13,000</u> |                    | <u>13,000</u> |                         |

## Adjusting Entries

Adjusting entries are passed on reporting (closing) date, in order to complete the Income/Expense account with respect to the accruals and prepayments.

*For Opening Expense Due*

|    |                      |    |                           |
|----|----------------------|----|---------------------------|
| Dr | Expense payable A/c. | Cr | Expense (accounting head) |
|----|----------------------|----|---------------------------|

*For Closing Expense Due*

|    |                           |    |                     |
|----|---------------------------|----|---------------------|
| Dr | Expense (accounting head) | Cr | Expense payable a/c |
|----|---------------------------|----|---------------------|

*For Opening Advance Payment*

|    |                           |    |                     |
|----|---------------------------|----|---------------------|
| Dr | Expense (accounting head) | Cr | Advance payment a/c |
|----|---------------------------|----|---------------------|

*For Closing Advance payment*

|    |                      |    |                           |
|----|----------------------|----|---------------------------|
| Dr | Advance payment A/c. | Cr | Expense (accounting head) |
|----|----------------------|----|---------------------------|

*For Opening Income Due*

|    |                          |    |                       |
|----|--------------------------|----|-----------------------|
| Dr | Income (accounting head) | Cr | Income receivable a/c |
|----|--------------------------|----|-----------------------|

*For Closing Income Due*

|    |                       |    |                          |
|----|-----------------------|----|--------------------------|
| Dr | Income receivable a/c | Cr | Income (accounting head) |
|----|-----------------------|----|--------------------------|

*For Opening Advance Receipt*

|    |                     |    |                          |
|----|---------------------|----|--------------------------|
| Dr | Unearned income a/c | Cr | Income (accounting head) |
|----|---------------------|----|--------------------------|

*For Closing Advance Receipt*

|    |                          |    |                     |
|----|--------------------------|----|---------------------|
| Dr | Income (accounting head) | Cr | Unearned Income A/c |
|----|--------------------------|----|---------------------|

## Closing Entries

Closing entries are passed on reporting (closing) date, in order to close final balance of Income/Expense account into the Income Statement for the reporting period to which they relate.

*For expenses*

|    |                  |    |                           |
|----|------------------|----|---------------------------|
| Dr | Income Statement | Cr | Expense (accounting head) |
|----|------------------|----|---------------------------|

*For incomes*

|    |                          |    |                  |
|----|--------------------------|----|------------------|
| Dr | Income (accounting head) | Cr | Income Statement |
|----|--------------------------|----|------------------|

### **Important Tips To Remember (ITTRs)**

1. "Opening expense due" means the expenses relating to previous reporting period, which have been paid during the current reporting period. These were recognized as liabilities in the previous balance sheet. Therefore, its payment should not be included in expense for the period.
2. "Closing expense due" means the expenses that relate to the current reporting period, which have not yet paid during the period. These are recognized as liabilities in the balance sheet at the end of current reporting period.
3. "Opening advance payment" means the expenses that relate to the current reporting period, which had been paid during the previous reporting period in advance. These were recognized as asset in the previous reporting date.
4. "Closing advance payment" means the expenses that relate to future reporting period, these have been paid during the current period as advance. These are recognized as asset in the balance sheet at the end of current reporting period.
5. The terminology "**due**" is alternatively termed as owing, outstanding, accrued and in-arrears. For expenses; it means not yet paid or payable. For incomes; it means not yet received or receivable.
6. The terminology "**advance**" for expense means; prepayments or unexpired cost and for incomes means; unearned incomes or deferred income.
7. Reporting date means the closing date of the reporting period also known as end of reporting period.
8. Opening expense due is subtracted from the cash paid for expenses during the current reporting period because such payment was made against the previous period's liability for expenses that were not paid till the previous reporting date. Since, while recording transactions, this is recognized as expense of current reporting period therefore, it is rectified by subtracting the amount of opening expense due from the payments made for expenses during the period.
9. Opening prepayments are added in current period's expense because; these were paid in previous period in advance for expenses relating to the current period. Another reason is that expiry of advance payments happens in current accounting period, therefore these are recognized as expense in the current periods.
10. Opening income due is subtracted from cash received for incomes during the current reporting period because such receipt was collected against the previous period's receivables for incomes that were not received till the previous reporting date. Since, while recording transactions, this is recognized as income of current reporting period therefore, it is rectified by subtracting the amount of opening income due from the receipts collected for incomes during the period.
11. Opening advance receipts are added in current period's incomes because these were received in previous period in advance for incomes relating to the current period.
12. Closing expense due is included in current expenses because it belongs to the current period. Its second effect is included in liabilities on reporting date because it is still payable.
13. Closing prepayment is subtracted from current period expenses because it does not belong to the current reporting period. Its second effect is recognized as asset because its economic benefits have not yet expired.
14. Closing income due is included in current incomes because it belongs to the current period. Its second effect is included in assets on reporting date because it is still receivable.
15. Closing advance receipt is subtracted from current period incomes because it does not belong to the current period. Its second effect is recognized as liability because its income has not yet earned.

**Exercise and Examination Question Bank**

8. Rent office space from 1 August 20X8 at Rs.18,000 per annum, payable quarterly in arrears

**How much rental expense should be presented in the Income Statement for year-end 31<sup>st</sup> Dec 20X8?**

**Answer:**  $\text{Rs.18,000} / 12 \text{ months} = \text{Rs.1,500 per month} \times 5 \text{ months} = \text{Rs. 7,500}$

9. A tenant pays annual rent of Rs.6,000. Payment is made quarterly in advance on 1 January, 1 April, 1 July and 1 October.  
**Which of the following should be included in his accounts for the year ended 31 October 20X8?**

- A. RS.500 Accrual.
- B. RS.500 Prepayment
- C. RS.1,000 Accrual
- D. RS.1,000 Prepayment**

**Answer:**  $\text{Rs.6,000} / 12 \text{ months} = \text{Rs.500 per month. Prepaid for November and December Rs.1,000}$

10. The gas account for the year ended 30 June 20X9 was as follows:

|                                                     | RS. |
|-----------------------------------------------------|-----|
| Opening balance for gas accrued at 1 July 20X8      | 300 |
| <b>Payments made during the year:</b>               |     |
| 1 August 20X8 for three months to 31 July 20X8      | 600 |
| 1 November 20X8 for three months to 31 October 20X8 | 720 |
| 1 February 20X9 for three months to 31 January 20X9 | 900 |
| 30 June 20X9 for three months to 30 April 20X9      | 840 |

**Which of the following is the appropriate entry for gas expense?**

| Accrued at June 20X9 | Expense for the year |
|----------------------|----------------------|
| A. Rs. Nil           | Rs.3,060             |
| B. Rs. 460           | Rs.3,320             |
| <b>C. Rs. 560</b>    | <b>Rs.3,320</b>      |
| D. Rs. 560           | Rs.3,420             |

**Answer:**  $\text{Cash Paid during the year (600+720+900+840)} - \text{Opening Accrued 300} + \text{Closing Accrued 560 (840} \times \frac{2}{3} \text{ estimation made on the basis of last quarter's bill)}$

11. Light and heat costs paid by cheque during the year ended 31 July 20X6 totaled Rs.9,400. On 15 September 20X6, a payment of Rs.3,030 was made covering the period 1 June 20X6 to 31 August 20X6. At 31 July 20X5, light and heat accrued was Rs.1,200.

**What should be included in the income statement for the year ended 31 July 20X6 for light and heat?**

- A. Rs.8,580 (Cash paid 9,400 – opening accrued 2,020  $[3,030 \times \frac{2}{3}]$  + closing accrued 1,200)**
- B. Rs.10,220
- C. Rs.11,420
- D. Rs.11,230

12. At 1 September, the motor expenses account showed 4 months' insurance prepaid of Rs.80 and petrol accrued of Rs.95. During September, the outstanding petrol bill is paid, plus further bills of Rs.245. At 30 September there is a further outstanding petrol bill of Rs.120.

**The amount to be shown in the income statement for motor expenses for September is:**

- A. **Rs.385 (Op. Adv. 80 – Op Acc. 95 + paid in period (245+95) + cl. due 120 - CL. Adv. 60 )**  
 B. Rs.415  
 C. Rs.445  
 D. Rs.460

13. Are the following statements about effect of accrued expense True or False?

|                    | True                     | False                    |
|--------------------|--------------------------|--------------------------|
| Profit Reduces     | <input type="checkbox"/> | <input type="checkbox"/> |
| Net assets Reduces | <input type="checkbox"/> | <input type="checkbox"/> |

**Both are TRUE because by recording accruals; expense is increased that reduces profits and liability is also increased that reduces net assets**

14. Jaffar owns two rental properties. The following balances were extracted from the accounting records in respect of rent for each property:

|                    | Property 1  | Property 2   |
|--------------------|-------------|--------------|
| As at 30 June 20X6 | Rs.5000 Dr  | Rs.10,000 Cr |
| As at 30 June 20X7 | Rs.8,000 Cr | Rs.2,000 Dr  |

During the year ended 30 June 20X7, Jaffar received in cash RS.80,000 from Property 1 and RS.90,000 from Property 2.

**What total revenue should be included in the income statement for the year ended 30 June 20X7?**

- A. Rs.171,000  
 B. Rs.155,000  
**C. Rs.169,000**  
 D. Rs.181,000

**Cash received 170,000 – opening due 5,000 + opening advance 10,000 – closing advance 8,000 + closing due 2,000**

15. Expenses for the period, which remains unpaid at the end of the period, should be?

- A. **Debited to income statement and included in the statement of financial position as current liability**  
 B. Shown in the income statement as an expense and deducted from statement of financial position cash figure at the end of the year **(it's not yet paid therefore deducting from cash is wrong)**  
 C. Shown as liability in the statement of financial position only **(second effect is missing)**  
 D. Shown as a prepayment in the statement of financial position **(it's not prepayment, it is accrued)**

16. Rent expense appearing in the income statement for a year was Rs.4,000. Whereas, Rs.200 was prepaid at the start of the year and Rs.400 was owing at the end of year.

**What was the cash book figure for rent paid during the year?**

- A. Rs.4,000  
 B. Rs.3,800  
 C. Rs.4,200  
**D. Rs.3,400 (Expense for the year 4,000 – opening advance 200 – closing due 400)**

## CHAPTER – 9

### PROVISION FOR DOUBTFUL DEBTS AND ALLOWABLE DISCOUNTS

| <b>Sr.<br/>No</b> | <b>Course outline Topics - Chapter 9</b>    |
|-------------------|---------------------------------------------|
| 1                 | Basic Concepts of Bad and Doubtful Debts    |
| 2                 | Measurement of Doubtful Debts               |
| 3                 | Accounting for Bad and Doubtful Debts       |
| 4                 | Increase in Provision for Doubtful Debts    |
| 5                 | Increase in provision continued             |
| 6                 | Decrease in Provision for Doubtful Debts    |
| 7                 | Practice - Specific and General Provision   |
| 8                 | Practice - Provision for Allowable Discount |
| 9                 | ITTR                                        |

**Topic 078 – 086 covered in this chapter.**

## Basic concept of Bad and Doubtful Debts

Bad Debts are the accounts receivables (Debtors) that an entity will never be able to collect e.g. the customer has gone out of business. These are also known as irrecoverable debts.

Doubtful Debts are the accounts receivables (Debtors) where there is a high risk that it will not be recovered.

Accounting effects for “*bad debts*” and “*doubtful debts*” are different, although both are recognized as expense in the income statement but credit effect is different.

## Accounting Entries

### 1. Debtors written off as bad debts

|                |    |    |
|----------------|----|----|
| Bad Debts A/c. | Dr |    |
| Debtors' A/c.  |    | Cr |

### 2. Creating provision for doubtful debts

|                                   |    |    |
|-----------------------------------|----|----|
| Bad Debts A/c.                    | Dr |    |
| Provision for doubtful debts A/c. |    | Cr |

### 3. Increase in provision for doubtful debts

|                                   |    |    |
|-----------------------------------|----|----|
| Bad Debts A/c.                    | Dr |    |
| Provision for doubtful debts A/c. |    | Cr |

### 4. Decrease in provision for doubtful debts

|                                   |    |    |
|-----------------------------------|----|----|
| Provision for doubtful debts A/c. | Dr |    |
| Bad Debts A/c.                    |    | Cr |

### 5. Bad debts recovered

|                          |    |    |
|--------------------------|----|----|
| Bank A/c.                | Dr |    |
| Bad Debts Recovered A/c. |    | Cr |

### 6. Discount allowed to Debtors.

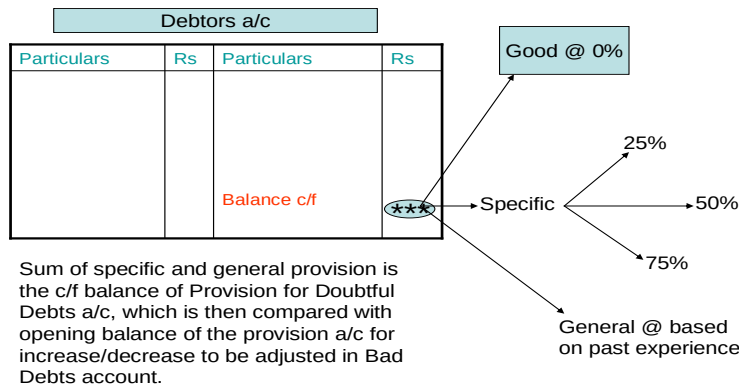
|                       |    |    |
|-----------------------|----|----|
| Discount Allowed A/c. | Dr |    |
| Debtors' A/c.         |    | Cr |

### 7. Creating provision for discount on debts.

|                             |    |    |
|-----------------------------|----|----|
| Discount Allowed A/c.       | Dr |    |
| Provision for discount A/c. |    | Cr |

## Measurement of Doubtful Debts

Provision for doubtful debts based on specifically doubtful debtors:



### Practice 9.1 (Specific and general provision)

Closing balance of Debtors is Rs.80,000 out of which:

- one of the debtors Mr. Fill owing Rs.6,000 is also a creditor to whom entity owes Rs.7,500 (he is considered as a good debtor);
- one of the debtors Mr. Kill owing Rs.10,000 is specifically doubtful and 75% is expected recovery from his estate as final dividend;
- one of the debtors Miss Hill owing Rs.6,000 is expected to be doubtful at 50%;
- one of the debtors Mr. Bill owing Rs.8,000 is expected to be doubtful @ 75%;
- Generally, provision for doubtful debts is experienced @ 5% of the debtors' balance.

**Calculate provision for doubtful debts against debtors of Rs.80,000 and pass accounting entry for increase in provision assuming that opening balance for provision for doubtful debt at the beginning of reporting period was Rs.10,000.**

| Answer:                                              | Rs.           |   | Rs.           |
|------------------------------------------------------|---------------|---|---------------|
| Good debtor Mr. Fill                                 | 6,000 x 0%    | = | zero          |
| Specific debtor                                      |               |   |               |
| Mr. Kill                                             | 10,000 x 25%  | = | 2,500         |
| Miss. Hill                                           | 6,000 x 50%   | = | 3,000         |
| Mr. Bill                                             | 8,000 x 75%   | = | 6,000         |
| General debtors (remaining balance; 80,000 – 30,000) | 50,000 x 5%   | = | 2,500         |
| <b>Closing Balance of Debtors</b>                    | <b>80,000</b> |   | <b>14,000</b> |

|                                                 |        |
|-------------------------------------------------|--------|
| Opening Balance of Provision for Doubtful Debts | 10,000 |
| Closing Balance of Provision for Doubtful Debts | 14,000 |
| Increase in Provision for Doubtful Debts        | 4,000  |

|                                   |          |
|-----------------------------------|----------|
| Bad Debts A/c.                    | Dr 4,000 |
| Provision for doubtful debts A/c. | Cr 4,000 |

### Provision for doubtful debts based on Aging Analysis:

Closing balance of debtors account is analyzed in terms of age of each customer's outstanding balance. It is worked out that for how long the receivable balance of each customer is overdue, either for number of days or months. Recovery from older balances is considered as a difficult task and hence would be measured at a higher rate to create a provision as doubtful.

#### **Practice 9.2 (Aging analysis)**

Analysis of closing balance of debtors shows following facts:

| <b>Balance Due:</b>                             | <b>Rs.</b>     | <b>Rate and amount of Provision</b> |     |                  |
|-------------------------------------------------|----------------|-------------------------------------|-----|------------------|
| For less than 30 days                           | 90,000         | x                                   | 0%  | Rs. 0            |
| For more than 30 days but less than 60 days     | 60,000         | x                                   | 5%  | Rs. 3,000        |
| For more than 60 days but less than 90 days     | 50,000         | x                                   | 7%  | Rs. 3,500        |
| For more than 90 days                           | 20,000         | x                                   | 10% | Rs. 2,000        |
| <b>Closing Balance of Debtors and Provision</b> | <b>220,000</b> |                                     |     | <b>Rs. 8,500</b> |

|                                                        |              |
|--------------------------------------------------------|--------------|
| <b>Opening Balance of Provision for Doubtful Debts</b> | <b>9,800</b> |
| <b>Closing Balance of Provision for Doubtful Debts</b> | <b>8,500</b> |
| <b>Decrease in Provision for Doubtful Debts</b>        | <b>1,300</b> |

|                                   |          |
|-----------------------------------|----------|
| Provision for doubtful debts A/c. | Dr 1,300 |
| Bad Debts A/c.                    | Cr 1,300 |

**Practice 9.3 (Accounting for Bad Debts)**

A business has trade receivables of Rs.75,000. Among the debtors' balance, Mr A owes Rs.5,000 to the business who has recently been declared as bankrupt and should be written off.

| <b>Debtors / Receivables</b> |               |           |               |
|------------------------------|---------------|-----------|---------------|
| Bal b/f                      | <b>Rs.</b>    |           | <b>Rs.</b>    |
|                              | 75,000        | Bad debts | 5,000         |
|                              |               | Bal c/f   | 70,000        |
|                              | <u>75,000</u> |           | <u>75,000</u> |

| <b>Bad Debts</b> |              |                                  |              |
|------------------|--------------|----------------------------------|--------------|
| Debtors          | <b>Rs.</b>   |                                  | <b>Rs.</b>   |
|                  | 5,000        | Profit & Loss – Income Statement | 5,000        |
|                  | <u>5,000</u> |                                  | <u>5,000</u> |

**Debtors written off as bad debts**

Bad Debts A/c.

Dr 5,000

Debtors' A/c.

Cr 5,000

**Practice 9.4 (Recognition of provision for doubtful debts)**

Year 1

- Trade receivables of Rs.75,000
- Rs.5,000 is to be written off as 'Bad'
- Provision for doubtful debts is to be maintained (for the first time) amounting Rs.2,000

**Year 1**

| Debtors / Receivables           |               |                   |               |
|---------------------------------|---------------|-------------------|---------------|
| Bal b/f                         | Rs.<br>75,000 | Bad debts         | Rs.<br>5,000  |
|                                 |               | Bal c/f           | 70,000        |
|                                 | <u>75,000</u> |                   | <u>75,000</u> |
| Bad Debts                       |               |                   |               |
| Receivables                     | Rs.<br>5,000  | Income Statement  | Rs.<br>7,000  |
| Prov. for Doubtful Debts        | 2,000         |                   |               |
|                                 | <u>7,000</u>  |                   | <u>7,000</u>  |
| Provision for doubtful debt     |               |                   |               |
| Bal c/f                         | Rs.<br>2,000  | Bad debts         | Rs.<br>2,000  |
|                                 | <u>2,000</u>  |                   | <u>2,000</u>  |
| Statement of Financial Position |               | Income Statement  |               |
| Debtors                         | 70,000        | Bad debts expense | 7,000         |
| Provision for Doubtful Debts    | (2,000)       |                   |               |
|                                 | <u>68,000</u> |                   |               |

**Debtors written off as bad debts**

|                |          |          |
|----------------|----------|----------|
| Bad Debts A/c. | Dr 5,000 |          |
| Debtors' A/c.  |          | Cr 5,000 |

**Creating provision for doubtful debts**

|                                   |          |          |
|-----------------------------------|----------|----------|
| Bad Debts A/c.                    | Dr 2,000 |          |
| Provision for doubtful debts A/c. |          | Cr 2,000 |

**Practice 9.5 (Recognition of increase in provision for doubtful debts)**

Year 2

- Credit sales Rs.200,000
- Receipts from customers Rs.185,000
- Bad debts written off Rs 8,000
- The allowance for doubtful debts is to be increased from Rs.2,000 to Rs.6,000

Year 2

| Debtors / Receivables |                |           |                |
|-----------------------|----------------|-----------|----------------|
|                       | Rs.            |           | Rs.            |
| Bal b/f               | 70,000         | Bank      | 185,000        |
| Sales                 | 200,000        | Bad debts | 8,000          |
|                       |                | Bal c/f   | 77,000         |
|                       | <u>270,000</u> |           | <u>270,000</u> |

| Bad Debts                    |               |                  |               |
|------------------------------|---------------|------------------|---------------|
|                              | Rs.           |                  | Rs.           |
| Debtors                      | 8,000         | Income statement | 12,000        |
| Provision for Doubtful Debts | 4,000         |                  |               |
|                              | <u>12,000</u> |                  | <u>12,000</u> |

| Provision for Doubtful debt |              |          |              |
|-----------------------------|--------------|----------|--------------|
|                             | Rs.          |          | Rs.          |
| Bal c/f                     | 6,000        | Bal b/f  | 2,000        |
|                             | <u>6,000</u> | Bad debt | 4,000        |
|                             |              |          | <u>6,000</u> |

| Statement of Financial Position |               | Income Statement  |        |
|---------------------------------|---------------|-------------------|--------|
| Debtors                         | 77,000        | Bad debts expense | 12,000 |
| Provision for Doubtful Debts    | (6,000)       |                   |        |
|                                 | <u>71,000</u> |                   |        |

**Debtors written off as bad debts**

|                |          |          |
|----------------|----------|----------|
| Bad Debts A/c. | Dr 8,000 |          |
| Debtors' A/c.  |          | Cr 8,000 |

**Increase in provision for doubtful debts**

|                                   |          |          |
|-----------------------------------|----------|----------|
| Bad Debts A/c.                    | Dr 4,000 |          |
| Provision for doubtful debts A/c. |          | Cr 4,000 |

**Practice 9.6 (Recognition of decrease in provision for doubtful debts)**

Year 3

- Credit sales Rs.200,000
- Receipts from customers Rs.185,000
- Bad debts written off Rs 8,000
- The allowance for doubtful debts is to be decreased from Rs.6,000 to Rs.5,000

Year 3

| Debtors / Receivables |                |           |                |
|-----------------------|----------------|-----------|----------------|
|                       | Rs.            |           | Rs.            |
| Bal b/f               | 70,000         | Bank      | 185,000        |
| Sales                 | 200,000        | Bad debts | 8,000          |
|                       |                | Bal c/f   | 77,000         |
|                       | <u>270,000</u> |           | <u>270,000</u> |

| Bad Debts |              |                              |              |
|-----------|--------------|------------------------------|--------------|
|           | Rs.          |                              | Rs.          |
| Debtors   | 8,000        | Provision for Doubtful Debts | 1,000        |
|           |              | Income statement             | 7,000        |
|           | <u>8,000</u> |                              | <u>8,000</u> |

| Provision for Doubtful debt |              |         |              |
|-----------------------------|--------------|---------|--------------|
|                             | Rs.          |         | Rs.          |
| Bad Debts                   | 1,000        | Bal b/f | 6,000        |
| Bal c/f                     | 5,000        |         |              |
|                             | <u>6,000</u> |         | <u>6,000</u> |

| Statement of Financial Position |               | Income Statement  |       |
|---------------------------------|---------------|-------------------|-------|
| Debtors                         | 77,000        | Bad debts expense | 7,000 |
| Provision for Doubtful Debts    | (5,000)       |                   |       |
|                                 | <u>72,000</u> |                   |       |

**Debtors written off as bad debts**

|                |          |          |
|----------------|----------|----------|
| Bad Debts A/c. | Dr 8,000 |          |
| Debtors' A/c.  |          | Cr 8,000 |

**Increase in provision for doubtful debts**

|                                   |          |          |
|-----------------------------------|----------|----------|
| Provision for doubtful debts A/c. | Dr 1,000 |          |
| Bad Debts A/c.                    |          | Cr 1,000 |

**Exercise Question 9.7 (Different Scenarios – Maintenance of provision for doubtful debts)**

Following information is appearing in a trial balance on reporting date:

| <u>Debit</u>                                       | <u>Credit</u> |
|----------------------------------------------------|---------------|
| Debtors (Closing balance before adjustments)       | Rs. 25,000    |
| Bad debts (written off during the year)            | Rs.1,000      |
| Provision for doubtful debts (opening balance b/f) | Rs. 480       |

**Adjustment Scenario 1**

- Write off further bad debts Rs. 500
- Maintain/increase provision for doubtful debts at/up to Rs.600

**Adjustment Scenario 2**

- Write off further bad debts Rs.500
- Maintain/decrease provision for doubtful debts at/up to Rs.400

**Adjustment Scenario 3**

- Write off further bad debts Rs. 500
- Increase provision for doubtful debts by Rs.200

**Answer Scenario 1**

| <b>Debtors account</b>                      |               |                              |               |
|---------------------------------------------|---------------|------------------------------|---------------|
| <b>Particulars</b>                          | <b>Rs.</b>    | <b>Particulars</b>           | <b>Rs.</b>    |
| From Trial Balance                          | 25,000        | Bad Debts (Adjustment)       | 500           |
|                                             |               | Balance c/f                  | 24,500        |
|                                             | <u>25,000</u> |                              | <u>25,000</u> |
| <b>Bad Debts account</b>                    |               |                              |               |
| <b>Particulars</b>                          | <b>Rs.</b>    | <b>Particulars</b>           | <b>Rs.</b>    |
| From Trial Balance                          | 1,000         | Income Statement             | 1,620         |
| Debtors (Adjustment)                        | 500           |                              |               |
| Provision for doubtful debts                | 120           |                              |               |
|                                             | <u>1,620</u>  |                              | <u>1,620</u>  |
| <b>Provision for doubtful debts account</b> |               |                              |               |
| <b>Particulars</b>                          | <b>Rs.</b>    | <b>Particulars</b>           | <b>Rs.</b>    |
| Balance c/f                                 | 600           | From TB Balance b/f          | 480           |
|                                             |               | Bad debts (balancing figure) | 120           |
|                                             |               | (Increase in Provision)      |               |
|                                             | <u>600</u>    |                              | <u>600</u>    |

**Answer Scenario 2**

| Debtors account        |               |                        |               |
|------------------------|---------------|------------------------|---------------|
| Particulars            | Rs.           | Particulars            | Rs.           |
| From Trial Balance b/f | 25,000        | Bad Debts (Adjustment) | 500           |
|                        |               | Balance c/f            | 24,500        |
|                        | <u>25,000</u> |                        | <u>25,000</u> |

| Bad Debts account    |              |                              |              |
|----------------------|--------------|------------------------------|--------------|
| Particulars          | Rs.          | Particulars                  | Rs.          |
| From Trial Balance   | 1,000        | Provision for doubtful debts | 80           |
| Debtors (Adjustment) | 500          | Income Statement             | 1,420        |
|                      | <u>1,500</u> |                              | <u>1,500</u> |

| Provision for doubtful debts account                    |            |                     |            |
|---------------------------------------------------------|------------|---------------------|------------|
| Particulars                                             | Rs.        | Particulars         | Rs.        |
| Bad debts (balancing figure)<br>(decrease in provision) | 80         | From TB Balance b/f | 480        |
| Balance c/f                                             | 400        |                     |            |
|                                                         | <u>480</u> |                     | <u>480</u> |

**Answer Scenario 3**

| Debtors account        |               |                        |               |
|------------------------|---------------|------------------------|---------------|
| Particulars            | Rs.           | Particulars            | Rs.           |
| From Trial Balance b/f | 25,000        | Bad Debts (Adjustment) | 500           |
|                        |               | Balance c/f            | 24,500        |
|                        | <u>25,000</u> |                        | <u>25,000</u> |

| Bad Debts account            |              |                  |              |
|------------------------------|--------------|------------------|--------------|
| Particulars                  | Rs.          | Particulars      | Rs.          |
| From Trial Balance           | 1,000        | Income Statement | 1,700        |
| Debtors (Adjustment)         | 500          |                  |              |
| Provision for doubtful debts | 200          |                  |              |
|                              | <u>1,700</u> |                  | <u>1,700</u> |

| Provision for doubtful debts account |            |                               |            |
|--------------------------------------|------------|-------------------------------|------------|
| Particulars                          | Rs.        | Particulars                   | Rs.        |
| Balance c/f (balancing figure)       | 680        | From TB Balance b/f           | 480        |
|                                      |            | Bad debts (Prov. increase by) | 200        |
|                                      | <u>680</u> |                               | <u>680</u> |

**Exercise Question 9.8**

(Specific provision, general provision, increase in provision and decrease in provision)

You are given the following balances on 1<sup>st</sup> January, 20X9: Debtors Rs. 10,000; Provision for doubtful debts Rs. 400. You ascertain the following information:

Sales for the year 20X9 (all on credit): Rs 100,000; Sales returns for the year 20X9 Rs. 1,000; Collection from debtors during 20X9 Rs. 90,000; Bad debt written off during 20X9 Rs 500; Discount allowed during 20X9 Rs. 400.

At the end of 20X9 the provision for doubtful debts is required to be at 5% of debtors after making a specific provision for a debt of Rs. 200 from a customer who has been declared bankrupt.

Sales for the year 20Y0 Rs. 100,000 (90% on credit); sales return for the year 20Y0 Rs. 2,000 (90% relates to credit customers); Collection from debtors during 20Y0 Rs. 95,000; Debtors balances settled by contra against creditors balances during 20Y0 Rs 3,000; Bad debts written off during 20Y0 Rs. 1,500; Discount allowed during 20Y0 Rs 500. At the end of 20Y0 the provision for doubtful debts is still required to be at 5% of debtors. You are required to write up the Sundry Debtors Account and the Provision for Doubtful Debts Account for the year 20X9 and 20Y0.

**Answer****Sundry Debtors A/c.**

| Date      | Particular  | Rs.            | Date   | Particulars            | Rs.            |
|-----------|-------------|----------------|--------|------------------------|----------------|
| 1-01-20X9 | Balance b/f | 10,000         | 20X9   | Sales return           | 1,000          |
|           | Sales       | 100,000        |        | Collection (Cash/Bank) | 90,000         |
|           |             |                |        | Bad debts              | 500            |
|           |             |                |        | Discount allowed       | 400            |
|           |             |                | Dec 31 | Balance c/f            | <u>18,100</u>  |
|           |             | <u>110,000</u> |        |                        | <u>110,000</u> |
| 1-01-20Y0 | Balance b/f | 18,100         | 20Y0   | Sales return           | 1,800          |
|           | Sales       | 90,000         |        | Collection (Cash/Bank) | 95,000         |
|           |             |                |        | Settled by contra      | 3,000          |
|           |             |                |        | Bad debt               | 1,500          |
|           |             |                |        | Discount allowed       | 500            |
|           |             |                | Dec 31 | Balance c/f            | <u>6,300</u>   |
|           |             | <u>108,100</u> |        |                        | <u>108,100</u> |

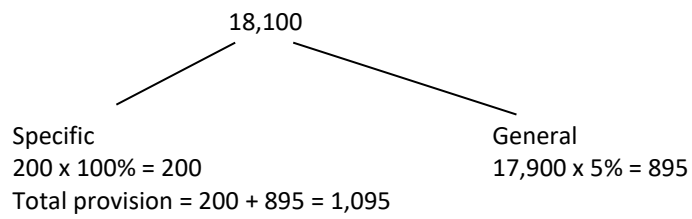
**Provision for Doubtful Debt A/c.**

| Date     | Particular               | Rs.          | Date    | Particulars                 | Rs.          |
|----------|--------------------------|--------------|---------|-----------------------------|--------------|
| 31-12-X9 | Balance c/f (Working*)   | <u>1,095</u> | 1-01-Y1 | Balance b/f                 | 400          |
|          |                          | <u>1,095</u> |         | Bad debt (increase in prov) | <u>695</u>   |
|          | Bad debts                |              |         |                             | <u>1,095</u> |
|          | (decrease in provision)  | 780          | 1-01-Y2 | Balance b/f                 | 1,095        |
|          | Balance c/f (6,300 x 5%) | 315          |         |                             |              |
|          |                          | <u>1,095</u> |         |                             | <u>1,095</u> |

**Bad Debts A/c.**

| Date | Particular                                             | Rs.          | Date | Particulars                                            | Rs.          |
|------|--------------------------------------------------------|--------------|------|--------------------------------------------------------|--------------|
| 20X9 | Debtors                                                | 500          |      |                                                        |              |
|      | Provision for Doubtful Debt<br>(Increase in provision) | 695          |      | Income Statement                                       | 1,195        |
|      |                                                        | <u>1,195</u> |      |                                                        | <u>1,195</u> |
| 20Y0 | Debtors                                                | 1,500        |      | Provision for Doubtful Debt<br>(Decrease in provision) | 780          |
|      |                                                        |              |      | Income statement                                       | 720          |
|      |                                                        | <u>1,500</u> |      |                                                        | <u>1,500</u> |

**\*Working:**



**Exercise Question 9.9, (Provision for Doubtful Debts and Provision for Discount Allowable)**

On 1-1-20X9 the Provision for Doubtful Debts Account in the books of S. Zahid stood at Rs. 1,200 and the Provision for Discount Allowable Account at Rs. 150.

On 31-12-20X9, the Sundry Debtors were Rs. 20,400 of which Rs. 400 were considered bad and required to be written off. The discount allowed to Debtors during 20X9 was Rs. 300 (already accounted for).

On 31-12-20Y0, the Sundry Debtors were Rs. 10,100 of which Rs. 100 were considered bad and required to be written off. The discount allowed to debtors during 2010, was Rs. 50 (already accounted for).

On 31-12-20Y1 the Sundry Debtors were Rs.36,200 of which Rs. 200 were considered bad and required to be written off. The discount allowed to debtors during 2011 was Rs. 50 (already accounted for).

It is decided to maintain a provision for doubtful debts at 5% on Sundry Debtors and a provision for discount on debtors at 2% on Debtors.

Show how the provision for Doubtful Debts Account and the provision for Discount Allowable Account would appear in the ledger of S. Zahid for the year 20X9, 20Y0 and 20Y1 bringing down the balance on 1-1-20Y2.

**Answer****Debtors A/c.**

| Date           | Particular         | Rs.           | Date           | Particulars     | Rs.           |
|----------------|--------------------|---------------|----------------|-----------------|---------------|
| 20X9<br>Dec.31 | Balance (Reopened) | 20,400        | 20X9<br>Dec 31 | Bad Debt        | 400           |
|                |                    |               |                | Balance c/f 5%  | 20,000        |
|                |                    | <u>20,400</u> |                |                 | <u>20,400</u> |
| 20Y0<br>Dec.31 | Balance (Reopened) | 10,100        | 20Y0<br>Dec.31 | Bad Debt        | 100           |
|                |                    |               |                | Balance. c/f 5% | 10,000        |
|                |                    | <u>10,100</u> |                |                 | <u>10,100</u> |
| 20Y1<br>Dec.31 | Balance (Reopened) | 36,200        | 20Y1<br>Dec.31 | Bal Debt        | 200           |
|                |                    |               |                | Balance c/f 5%  | 36,000        |
|                |                    | <u>36,200</u> |                |                 | <u>36,200</u> |

**Provision for Doubtful Debts A/c.**

| Date           | Particular              | Rs.          | Date           | Particulars             | Rs.          |
|----------------|-------------------------|--------------|----------------|-------------------------|--------------|
| 20X9<br>Dec.31 | Bad Debt                |              | 20X9<br>Jan.1  | Balance b/f             | 1,200        |
| Dec.31         | (decrease in provision) | 200          |                |                         |              |
| Dec.31         | Balance c/f             | 1,000        |                |                         | <u>1,200</u> |
|                |                         | <u>1,200</u> |                |                         | <u>1,200</u> |
|                | Bad debt                | 500          | 20Y0<br>Jan.1  | Balance b/f             | 1,000        |
| 20Y0<br>Dec.31 | (decrease in provision) |              |                |                         |              |
| Dec.31         | Balance c/f             | 500          |                |                         | <u>1,000</u> |
|                |                         | <u>1,000</u> | 20Y1<br>Dec.31 | Balance b/f             | 50           |
| 20Y1           |                         |              |                |                         | 0            |
| Dec 31         | Balance c/f             | 1,800        | Dec.31         | Bad debt                | 1,300        |
|                |                         | <u>1,800</u> |                | (Increase in provision) |              |
|                |                         |              |                |                         | <u>1,800</u> |

**Bad Debt A/c.**

| Date        | Particular                  | Rs.          | Date        | Particulars                 | Rs.          |
|-------------|-----------------------------|--------------|-------------|-----------------------------|--------------|
| <b>20X9</b> |                             |              | <b>20X9</b> |                             |              |
| D.T.Y       | Debtors                     | 400          | Dec. 31     | Provision for Doubtful Debt | 200          |
|             |                             |              | Dec. 31     | Income Statement            | 200          |
|             |                             | <u>400</u>   |             |                             | <u>400</u>   |
| 20Y0        |                             | 400          | 20Y0        |                             | 400          |
| D.T.Y       | Debtors                     | 100          | Dec. 31     | Provision for Doubtful Debt | 500          |
| Dec. 31     | Income Statement            | 400          |             |                             |              |
|             |                             | <u>500</u>   |             |                             | <u>500</u>   |
| 20Y1        |                             |              |             |                             |              |
| D.T.Y       | Debtors                     | 200          | 20Y1        |                             |              |
| Dec. 31     | Provision for Doubtful Debt | 1,300        | Dec. 31     | Income statement            | 1,500        |
|             |                             | <u>1,500</u> |             |                             | <u>1,500</u> |

**Provision for Discount Allowable A/c.**

| Date        | Particular                                  | Rs.        | Date        | Particulars                                 | Rs.        |
|-------------|---------------------------------------------|------------|-------------|---------------------------------------------|------------|
| <b>20X9</b> |                                             |            | <b>20X9</b> |                                             |            |
|             |                                             |            | Jan.1       | Balance b/f                                 | 150        |
| Dec.31      | Balance c/f (Working*)                      | 380        | Dec.31      | Discount allowed<br>(increase in provision) | 230        |
|             |                                             | <u>380</u> |             |                                             | <u>380</u> |
| 20Y0        |                                             |            | 20Y0        |                                             |            |
| Dec.31      | Discount allowed<br>(decrease in provision) | 190        | Jan.1       | Balance b/f                                 | 380        |
| Dec.31      | Balance c/f (Working*)                      | 190        |             |                                             |            |
|             |                                             | <u>380</u> |             |                                             | <u>380</u> |
|             | Balance c/f (Working*)                      | 684        | 20Y1        | Balance b/f                                 | 190        |
|             |                                             | <u>684</u> |             | Discount allowed<br>(Increase in provision) | 494        |
|             |                                             |            |             |                                             | <u>684</u> |

**Discount Allowed A/c.**

| Date        | Particular                     | Rs.        | Date        | Particulars                       | Rs.        |
|-------------|--------------------------------|------------|-------------|-----------------------------------|------------|
| <b>20X9</b> |                                |            | <b>20X9</b> |                                   |            |
| D.T.Y       | Debtor (already accounted for) | 300        | Dec.31      | Income statement                  | 530        |
| Dec.31      | Provision for discount allowed | 230        |             |                                   |            |
|             |                                | <u>530</u> | 20Y0        |                                   | <u>530</u> |
| 20Y0        |                                | 530        | Dec.31      | Provision for discount<br>allowed | 190        |
| D.T.Y       | Debtor (already accounted for) | 50         |             |                                   |            |
| Dec.31      | Income statement               | 140        |             |                                   |            |
|             |                                | <u>190</u> |             |                                   | <u>190</u> |
| 20Y1        |                                |            | 20Y1        |                                   |            |
| D.T.Y       | Debtor (already accounted for) | 50         | Dec.31      | Income statement                  | 544        |
| Dec.31      | Provision for discount allowed | 494        |             |                                   | <u>544</u> |
|             |                                | <u>544</u> |             |                                   | <u>544</u> |

**\*Workings:**

|                                  | <b>Year 20X9</b> | <b>Year 20Y0</b> | <b>Year 20Y1</b> |
|----------------------------------|------------------|------------------|------------------|
| Debtors c/f                      | 20,000           | 10,000           | 36,000           |
| Provision for doubtful debts c/f | (1,000)          | (500)            | (1,800)          |
|                                  | 19,000 x 2%      | 9,500x2%         | 34,200x2%        |
|                                  | = 380            | = 190            | = 684            |

**Examination Question 9.10**

(First dividend, Final dividend from bankrupt debtors)

Because of their doubtful nature, Saqib Ulfat instructed his accountant to make a specific provision in the account for the year ended 31<sup>st</sup> December, 20Y0 against the following debts:

Shams Rs. 280   Dawood Rs. 60   Tauqeer Rs. 240   Shahzad Rs. 2,040

He also instructed that a general provision of 5% for doubtful debts should be created on the other debtors, which at 31<sup>st</sup> December, 20Y0 amounted to Rs. 80,000.

No further business transaction was entered into with any of these debtors during the year ended 31<sup>st</sup> December, 20Y1 but an amount of Rs. 90 was received from Shams trustee in bankruptcy by way of a first dividend; a first and final dividend of Rs. 700 was received from the liquidator of Shahzad, whereas Tauqeer paid his debt in full. A further debt of Rs. 950 due from Sajid Anwar proved to be bad.

On 31<sup>st</sup> December, 20Y1 Saqib Ulfat instructed his accountants to maintain the provision existing against Dawood's debt and to fully provide for the balance due from Shams, whereas create further provision for doubtful debts due from Bobby Rs 190 and Asad Ali Rs 150. The other debtors amounted to Rs. 75,000 for which the accountant was instructed to create a general provision for doubtful debts equal to 5%.

Prepare Bad Debts Account and Provision for Doubtful Debts Account.

**Answer****Provision for Doubtful Debt A/c.**

| Date     | Particular                    | Rs.          | Date     | Particulars            | Rs.          |
|----------|-------------------------------|--------------|----------|------------------------|--------------|
| 31-12-Y1 | Bad debts (decrease in prov.) | 2,280        | 01-01-Y1 | Balance b/f (Working*) | 6,620        |
|          | Balance c/f (Working*)        | 4,340        |          |                        |              |
|          |                               | <u>6,620</u> |          |                        | <u>6,620</u> |

**Bad Debt A/c.**

| Date | Particular         | Rs.          | Date | Particulars                               | Rs.          |
|------|--------------------|--------------|------|-------------------------------------------|--------------|
| 20Y0 | Debtors (Working*) | 2,290        |      | Provision for D. Debt<br>Income Statement | 2,280<br>10  |
|      |                    | <u>2,290</u> |      |                                           | <u>2,290</u> |

**\*Workings:**

| Opening Provision balance on 01.01.Y1 | Rs.          | Closing Provision balance on 31.12.Y1 | Rs.          |
|---------------------------------------|--------------|---------------------------------------|--------------|
| Shams                                 | 280          | Dawood                                | 60           |
| Dawood                                | 60           | Shams (280-90)                        | 190          |
| Tauqeer                               | 240          | Bobby                                 | 190          |
| Shahzad                               | 2,040        | Asad Ali                              | 150          |
| General (80,000x5%)                   | <u>4,000</u> | General (75,000x5%)                   | <u>3,750</u> |
|                                       | <u>6,620</u> |                                       | <u>4,340</u> |

**Bad Debts**

|                     | Rs.          |
|---------------------|--------------|
| Shahzad (2,040-700) | 1,340        |
| Sajid Anwar         | <u>950</u>   |
|                     | <u>2,290</u> |

### **Important Tips To Remember (ITTRs)**

1. Debtors are not written off with the amount of doubtful debts.
2. Doubtful debts are credited in an account:
  - known as a provision/allowances for doubtful debts
  - this provision is set off against the debtors' balance on the face of Statement of Financial Position (balance sheet).
  - credit balance of the provision account represents specifically doubtful receivables and/or general receivables. At the end of reporting period, there could be a valid reason to believe that there is no doubt with regards to recovery from specific debtors but based on past experience few unidentified debtors might become bad, for which provision is created for general debtors.
3. Credit balance on provision account is re-measured at each reporting date (balance sheet date).
  - If the required (remeasured) balance is greater than the previous balance, then an additional expense is recognised as bad debts with the incremental amount.
  - If the required (remeasured) balance is lesser than the previous balance, then the amount of reduction in balance would also reduce the bad debts expense for the period.
4. Amount for the bad debts expense chargeable to the Income Statement is worked out as below:
  - Bad debts written-off during the reporting period
  - Add increase in Provision for doubtful debt or
  - Less decrease in Provision for doubtful debt
  - Less Bad debts recovered during the reporting period
5. Amount for the discount allowed expense chargeable to the Income Statement is worked out as below:
  - Actual discount allowed during the reporting period
  - Add provision created for discounts allowable
6. Presentation in Statement of Financial Position / Balance Sheet
  - Debit balance of Debtors account and credit balance of Provision for Doubtful Debts account are set off in the Statement of Financial Position
  - Provision for discount allowable is calculated on remaining debtors balance after subtracting credit balance of provision for doubtful debts from the debtors' balance.
  - Provision for discount allowable is subtracted from the debtors after subtracting the closing balance of provision for doubtful debts.
7. Bad debts appearing in Dr side of Trial Balance are not subtracted from Debtors balance appearing in Dr side of Trial Balance; because these have already been accounted for.

1. At 1 July 20X5, a company's provision for doubtful debts was Rs.48,000. At 30 June 20X6, trade receivables amounted to Rs.838,000. It was decided to write off Rs.72,000 of these debts as bad and adjust the provision for doubtful debts to Rs.60,000.

**What are the final amounts for inclusion in the company's statement of financial position at 30 June 20X6?**

|    | Trade<br>Receivables<br>Rs. | Provision for<br>doubtful debts<br>Rs. | Net balance<br>of Trade Receivables<br>Rs. |
|----|-----------------------------|----------------------------------------|--------------------------------------------|
| A. | 838,000                     | 60,000                                 | 778,000                                    |
| B. | <b>766,000</b>              | <b>60,000</b>                          | <b>706,000</b>                             |
| C. | 766,000                     | 108,000                                | 658,000                                    |
| D. | 838,000                     | 108,000                                | 730,000                                    |

**Trade receivables 838,000 less 72,000 bad debts written off = 766,000**

**Closing balance of provision for doubtful debts appears in SoFP = 60,000**

**Net Balance of Trade Receivables 766,000 – 60,000 = 706,000**

2. The sales revenue in a company was Rs.2 million and its debtors were 5% of sales. The company wishes to have a provision for doubtful debts of 4% of debtors' balance, which would make the allowance one-third higher than the opening balance of the provision.

**How will the profit for the period be affected by the change in allowance?**

- A. **Profit will be reduced by \$1,000**  
 B. Profit will be increased by \$1,000  
 C. Profit will be reduced by \$1,333  
 D. Profit will be increased by \$1,333

**Debtors = 2,000,000 x 5% = 100,000**

**Provision closing balance = 100,000 x 4% = 4,000**

**Opening balance of provision = 4,000 x  $\frac{3}{4}$  = 3,000**

**Increase in provision = 4,000 – 3,000 = 1,000**

3. **An increase in the provision for doubtful debts results in:**

- A. an increase in net current assets  
 B. **a decrease in net current assets**  
 C. a decrease in current liabilities  
 D. an increase in current liabilities

**Provision for doubtful debts balance is subtracted from Debtors balance which ultimately causes a decrease in current assets balances.**

4. At the end of the year 20X7, Cheema's receivable's balance is Rs. 230,000. He wishes to make specific provision for Emely's debt of Rs.450 and Lala's debt of Rs.980. He also wishes to maintain a general provision of 5% for receivables/debtors.

**What amount would be charged or credited to the income statement in respect of the provision if the balance of provision at the start of the year was Rs.11,700?**

**A. Rs.1,159 Dr**

B. Rs.1,230 Dr

C. Rs.200 Cr

D. Rs.12,930 Dr

**General Provision =  $230,000 - 450 - 980 = 11,428.5$  say 11,429 (rounding up)**

**Closing balance of provision =  $11,429 + 450 + 980 = 12,859$**

**Opening balance of provision = 11,700**

**Increase in provision to be charged I/S =  $12,859 - 11,700 = 1,159$ .**

5. In the statement of financial position at 31 December 20X5, Babar reported gross receivables of Rs.12,000. During 20X6 he made sales on credit of Rs.125,000 and received cash from credit customers amounting to Rs.115,500. At 31 December 20X6, Babar decided to write off debts of Rs.7,100 and increased the allowance for doubtful receivables by Rs.950 to Rs.2,100.

**What is the net receivables figure at 31 December 20X6?**

**A. Rs.12,300**

B. Rs.13,450

C. Rs.14,400

D. Rs.15,550

**$(12,000 + 125,000 - 115,500 - 7,100) - (2,100)$**

**Subtract closing balance of provision from the closing balance of receivables.**

**No need to bother about the opening balance of allowance for doubtful debts.**

6. At 30 April 20X7 the total amount owed to Jamal by his customers was Rs.54,864. At the same date, Jamal calculated that his doubtful debts' allowance is Rs.3,775.

**How should these balances be reported in Jamal's balance sheet?**

**A. Rs.51,089 as a current asset**

B. Rs.51,089 as a current liability

C. Rs.54,864 as a current asset, and \$3,775 as a current liability

D. Rs.54,864 as a current liability, and \$3,775 as a current asset

7. Dr. Waseem's trial balance at 30 September 20X5 includes the following balances:

|                          |           |
|--------------------------|-----------|
| Trade receivables        | Rs.75,943 |
| Doubtful debts allowance | Rs.4,751  |

**How should these balances be reported in Dr. Waseem's balance sheet as at 30 September 2005?**

- A. A liability of Rs.71,192
- B. An asset of Rs.75,943 and a liability of Rs.4,751
- C. **An asset of Rs.71,192**
- D. A liability of Rs.75,943 and an asset of Rs.4,751

**Doubtful debts allowance/provision is subtracted from the Debtors' balance, net Debtors' balance is presented in the balance sheet as asset.**

8. Zohra calculated that her receivables allowance at 30 April 20X7 should be Rs.890. At 30 April 20X6, her receivables allowance was Rs.770.

**How should the movement in the receivables allowance be recorded in Zohra's income statement?**

- A. a charge of Rs.890
- B. **a charge of Rs.120**
- C. a credit of Rs.890
- D. a credit of Rs.120

**Receivable allowance is provision for doubtful debts, an increase in provision is charged to income statement as expense.**